Energy shock: Dashboard 2026 vs. 2022

Will the same causes produce the same effects? In other words, will the war in Iran and the resulting surge in oil and gas prices lead to an inflationary shock comparable to that seen in 2022? Will their negative effects on growth be the same as those of the war in Ukraine and the subsequent energy shock?

We have selected a set of indicators to track the impact of this new energy shock — caused by the war in the Middle East — on activity and prices in the Eurozone, the United States, oil and gas markets and emerging countries, and to see how much the current situation resembles that of 2022 at the outbreak of the conflict in Ukraine.

This dashboard features charts and comments that will be updated on a monthly basis for as long as necessary.

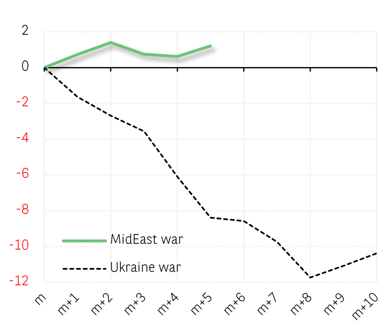
The expectation that the surge in inflation, driven by this new energy shock, would be more moderate than in 2022 (with demand being less dynamic and supply less constrained) is confirmed. However, following the Memorandum of Understanding (MoU) signed in mid-June between the United States and Iran, inflationary risk has eased but has not disappeared. This MoU had seemed to reduce the risk of a severe escalation of the conflict, but since mid-July and the resumption of hostilities, it has entered a new phase of tensions, once again driving up hydrocarbon prices.

When comparing the impact on economic activity, through confidence surveys, of the current energy shock to that of 2022 (following the conflict in Ukraine), it appears to be also generally more limited, thanks to a better performance of the business climate in the manufacturing sector.

Eurozone: July confidence surveys are positive

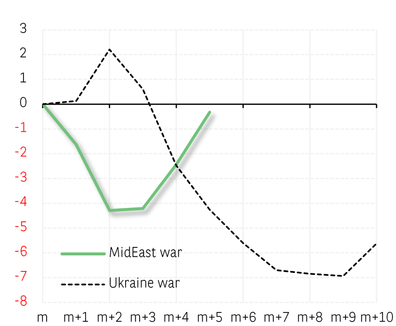
Uptick of business confidence in the manufacturing sector

Eurozone: Manufacturing PMI



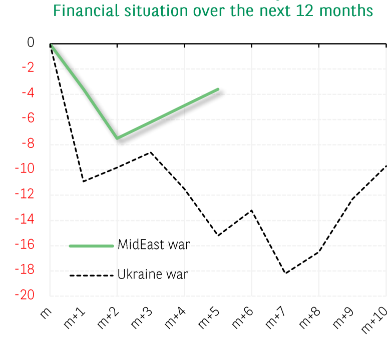
Further improvement of business confidence in the services sector

Eurozone: Services PMI



Further improvement in consumer confidence

Eurozone: Consumer confidence
Financial situation over the next 12 months



Change since m = 0 = February 2026 / February 2022.
Unit: inflation change in percentage point, point for confidence surveys.

Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas

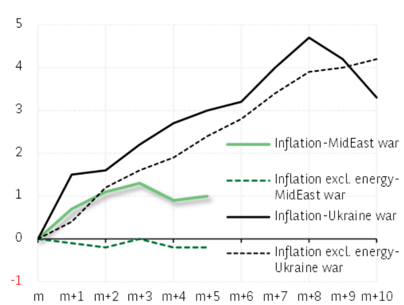
Eurozone: July confidence surveys are positive, inflation picks up only slightly

We have selected two inflation measures (with and without energy) and six survey indicators: 1/ business confidence, as measured by the PMIs in the manufacturing and 2/ services sectors; 3/ the "input prices" and 4/ "output prices" components of the composite PMI (in order to identify direct inflationary pressures); 5/ the "suppliers' delivery times" component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalance, and therefore, indirectly, of inflationary pressures in the making); 6/ household confidence, as reflected in its "assessment of financial situation in the next 12 months" component (in order to capture the impact of inflation on purchasing power). The trends in each of these indicators are observed relative to month m=0, corresponding to the start of the conflict. Each line does not represent the level of the indicator, but its cumulative variation compared to month m=0.

The assessment of the July data is positive and reinforces the encouraging signals from May and June data. According to PMI business climate surveys, price pressures continued to ease, as did supply tensions through slightly shorter delivery times. The business climate in the manufacturing sector resumed improving, almost erasing the two months of previous decline. The business climate in the services sector and consumer confidence continues to recover. The July surveys are not impacted by the resurgence of tensions in the Middle East and by the ensuing rise in energy prices, partly because responses were, for the most part, collected beforehand. A relapse in August is highly likely if the geopolitical situation remains degraded. As for inflation, it picked up as expected, alongside the higher energy prices, but in a limited way (+0.1 percentage point, at 2.9% year-on-year). Inflation excluding energy remained stable at 2.2%.

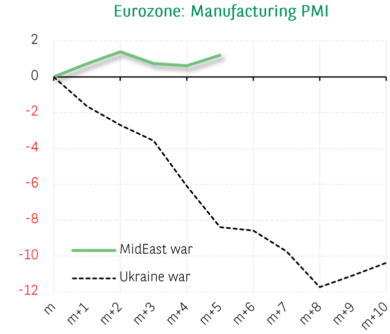
July 2026: Limited rise in inflation

Eurozone: Inflation (incl. & excl. Energy)



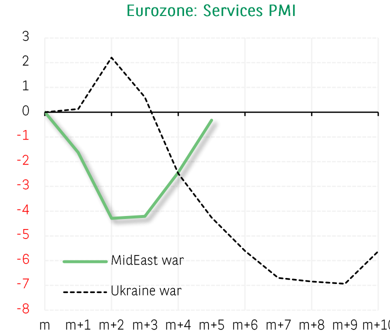
July 2026: Uptick of business confidence in the manufacturing sector

Eurozone: Manufacturing PMI



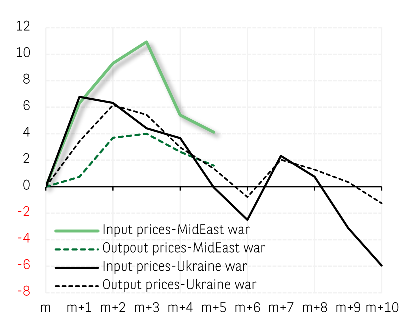
July 2026: Further improvement of business confidence in the services sector

Eurozone: Services PMI



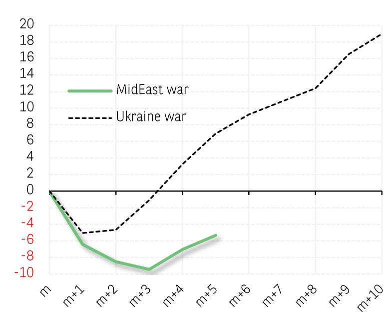
July 2026: Price pressures continue to abate

Eurozone: Composite PMI — Input and output prices



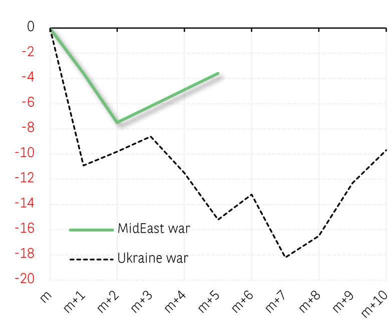
July 2026: Tensions on supply continue to moderate (less long delivery times)

Eurozone: Manufacturing PMI — Suppliers' delivery times



July 2026: Further improvement in consumer confidence

Eurozone: Consumer confidence
Financial situation over the next 12 months



Change since m = 0 = February 2026 / February 2022.
Unit: inflation change in percentage point, point for confidence surveys.

Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas

United States: June brought inflation some relief

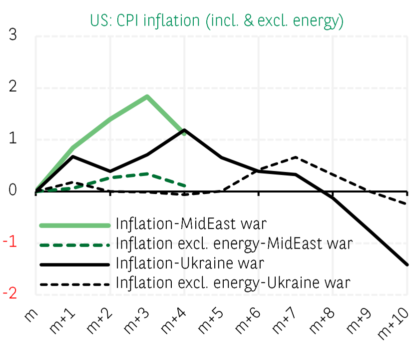
The memorandum of understanding, signed in mid-June between the US and Iran, improved US data before hostilities resumed in mid-July.

Headline CPI posted its first monthly drop (-0.4% m/m) since 2020 in June, driven by gasoline prices (-9.7% m/m). It stood at 3.5% y/y, down sharply from May's 4.2% but still 1.1pp above pre-conflict levels. Inflation excl. energy eased as well (-0.2pp to 2.7% y/y), edging back towards its February reading.

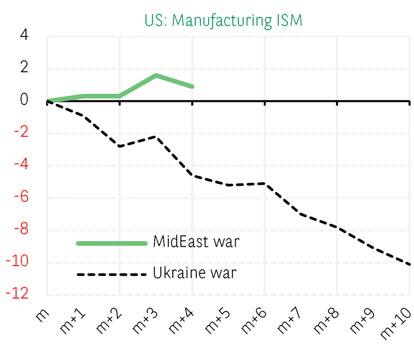
Business activity, buoyant going into the shock, stayed resilient. Input-price growth (a leading indicator of inflation) and delivery times remained elevated but moderated after the March/April spike. Both developments tie directly to the Middle East turmoil. Meanwhile, households, whose confidence was already weak, saw their outlook and inflation expectations deteriorate further given their sensitivity to gasoline prices, before partially recovering.

Macroeconomic conditions remain significantly less inflationary than in 2022, although small businesses have raised their price plans.

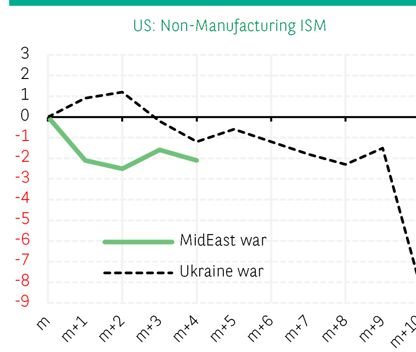
June 2026: Inflation eases on the back of gasoline prices



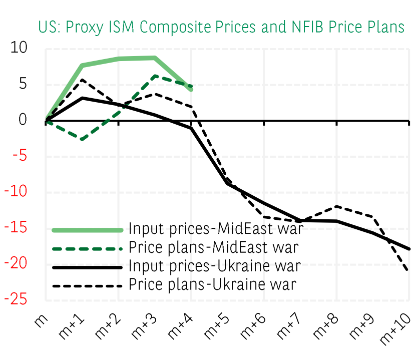
June 2026: Favorable business climate in manufacturing



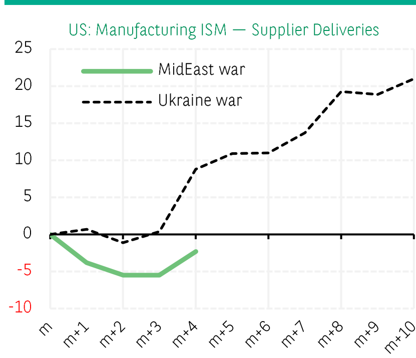
June 2026: Business climate still buoyant in services



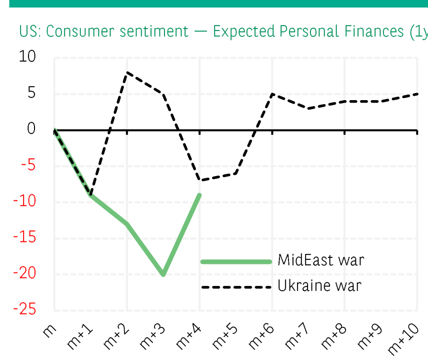
June 2026: Moderating input-price growth and price plans



June 2026: Delivery times lengthening less



June 2026: Moderating consumer concerns



Source: BLS, ISM, NFIB, University of Michigan, BNP Paribas

Change since m = 0 = February 2026 / February 2022.
Unit: inflation change in percentage point, point for confidence surveys.

Emerging economies: Industrial activity is resilient, the rebound in inflation is less significant in 2026 than in 2022, foreign investors are more nervous

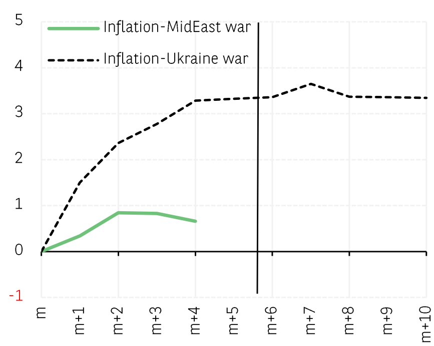
The acceleration in consumer price inflation since February 2026 is much less significant than in 2022, and it stopped in May and June 2026. The average CPI inflation rate for the fifteen main emerging economies was estimated at 4.6% y/y in June, against 4.8% in April. The inflationary shock is more moderate than in 2022 notably due to more limited spillovers to agricultural and food prices.

Manufacturers' opinion on the trend in input & output prices has stopped deteriorating since last May.

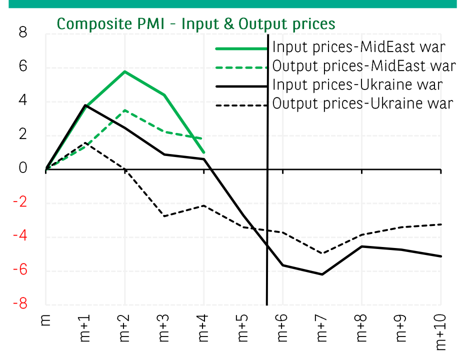
The manufacturing PMI was almost stable in May and June after the rebound in April. The negative impact of the energy shock on manufacturing activity since the beginning of the war in Iran is — so far — less severe than in 2022.

According to the Institute of International Finance (IIF) estimates, non-resident portfolio investment flows in the main emerging markets remained negative in June 2026 (totaling -USD 17.8 bn). Large volatility in capital flows since the beginning of the war has highlighted investors' nervousness. In May and June, negative investment flows affected mostly equities while debt flows remained positive. In June, China registered net foreign capital outflows in both its debt and equity markets.

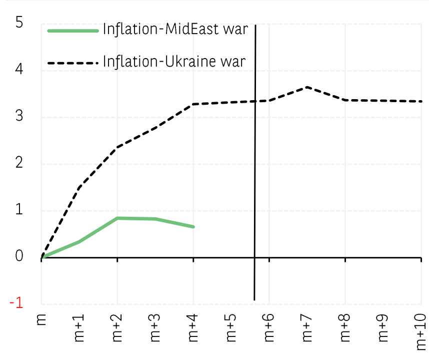
June 2026: A much less severe CPI inflation rebound than in 2022



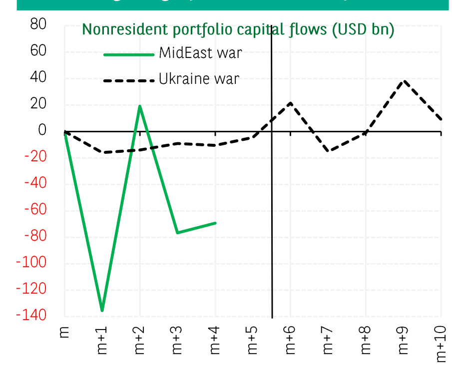
June 2026: The acceleration in input and output producer prices eased after a strong start



June 2026: Manufacturers in a wait-and-see attitude after the March shock



June 2026: Foreign capital flows remain volatile given geopolitical uncertainty



Change since m = 0 = February 2026 / February 2022.
Unit: inflation change in percentage point, point for confidence surveys.

Source: National Statistical Offices, IIF, S&P Global, BNP Paribas

Oil & gas: Renewed tensions in the Strait of Hormuz and seasonal factors drive O&G prices higher

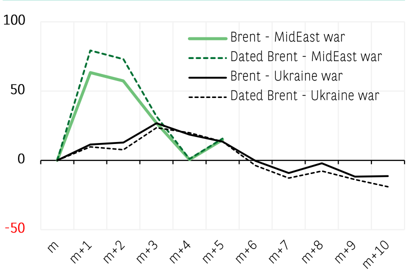
Oil and gas markets lack direction amid persistent instability in the Strait of Hormuz. While oil prices have thus far reacted similarly to the two energy shocks (2022 and 2026), the rise in gas prices remains lower than the increase seen following Russia's invasion of Ukraine.

Oil: Brent crude prices record high volatility based on geopolitical tensions affecting traffic through the Strait. They rose sharply in July following the breakdown of the MoU concluded between the United States and Iran. Nevertheless, the spread between the Brent futures price and the price of physical barrel (dated Brent) has remained narrow since the beginning of June, due to the accelerated reduction of OECD stocks (especially US SPR) and the decline in Chinese oil imports.

Gas: European gas spot prices (TTF) have risen significantly over the last month for two main reasons: 1/ the resurgence of tensions in the Strait, and 2/ increased competition in the LNG market between Europe, which is refilling its inventories, and Asia, where demand is high during the summer months.

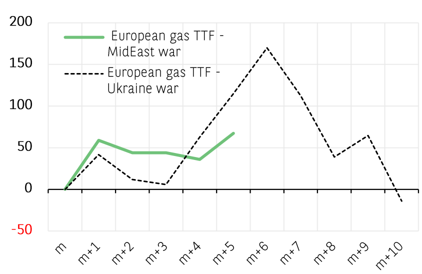
Electricity: Unlike in 2022, European wholesale electricity prices have remained relatively stable since the outbreak of the conflict. While gas prices continue to be an important driver of wholesale electricity prices, electricity price stability can be explained by progress in the decarbonation of the electricity mix since 2022. Nevertheless, the prolonged heatwave currently affecting part of Europe has significantly driven up electricity demand and is pushing prices higher over the last weeks.

July 2026: Increasing tensions in the Strait fuel rise in oil prices



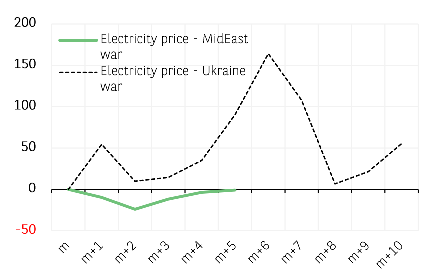
Note: change % since 02/27/2026 - 02/23/2022; last price 07/28/2026

July 2026: Higher tensions over liquefied natural gas market in Europe



Note: change % since 02/27/2026 - 02/23/2022; last price 07/28/2026

July 2026: Heatwaves fuel wholesale electricity prices inflation in Europe



Note: change % since 02/2026 - 02/2022

Source: Bloomberg, Ember, BNP Paribas

Paris, 30 July 2026

EcoFlash

Eurozone pulls level with the US

Both the Eurozone and the US grew 0.4% q/q in Q2 2026. For Europe, that is a welcome upside surprise: growth landed in line with expectations (France, Germany) or above them (Eurozone overall, Spain, Italy), even as the Middle East conflict delivered an energy-driven inflation shock. It confirms that European growth rests on foundations solid enough to absorb this kind of shock. Country-level detail was incomplete on the day, but manufacturing business sentiment held firm across the board in H1, underwritten by a set of drivers (AI, defence, electrification, aerospace). US growth, by contrast, undershot expectations. But it remained robust, powered by AI investment and accelerating household consumption. Both, however, drew in imports fast enough to weaken the headline growth figure.

France: growth led by aerospace, electrification and healthcare. The rebound we had flagged duly occurred in Q2, at 0.2% q/q, as anticipated by our nowcast of July 23 (*see our analysis*). The main driver was aerospace exports, which surged 20% q/q (0.9pp contribution) and erased their Q1 fall. Capital-goods exports (3.5% q/q) climbed to a record high, propelled in particular by electrification, with final-demand tied to AI, defence, EVs and energy. Household consumption told a similar story, as its rebound (0.2% q/q after -0.3% in Q1) was driven by autos, and by EVs and hybrids in particular. Public consumption, meanwhile, remained a constant contributor – 0.4% q/q in Q2, and a 0.3% quarterly average since early 2023 – driven above all by healthcare, where an ageing population acts as a structural tailwind. We expect GDP growth to extend into H2, with business investment turning into a driver again. It stabilized in Q2 (0.1% q/q) after two quarters of decline, and INSEE's industry survey showed a clear rebound in the balance of opinion on investment intentions (18; 9pp above the July norm of the past two years).

Eurozone: growth delivered. Elsewhere in the euro area, the releases arrived without a demand breakdown, but the aggregate numbers were good. **Euro area growth (0.4% q/q in Q2) was above our nowcast (0.3%), with country-level figures either in line with or above expectations.** As a result, growth excluding Ireland (whose GDP is highly volatile) is set to reach at least 1% in 2026. **Germany confirmed its rebound**, expanding 0.2% q/q as anticipated by our nowcast, supported, according to Destatis, by exports. This marked a third consecutive quarter of growth (revised up by 0.1pp in Q1 to 0.4%) and the first such streak since 2022. **Spanish growth came in above expectations**, growing 0.7% q/q (consensus: 0.4%) as the business climate improved (composite PMI at a six-month high of 53.3 in June). **Italy also defied expectations**, at 0.2% q/q versus our 0.1% forecast, and followed an already-firm Q1 (0.3% q/q), this time on resilient domestic demand.

United States: a slight disappointment on the surface, solid underneath. Q2 GDP growth slowed to 0.4% q/q, short of the steady 0.55% forecast. **The headline figure, however, masked strong momentum in final sales to private domestic purchasers – still AI-fuelled – which climbed to its fastest since 2024**, at 1.0% q/q (up 0.4pp). Household consumption proved resilient to higher inflation, accelerating to 0.8% q/q (up 0.7pp) on fiscal support and wealth effects. Business investment held at a solid 2.0 q/q (-0.8pp) as the AI-adjacent categories and the other components rose together for the first time since Q3 2024. As anticipated, net trade was a drag, owing to import growth (2.8% q/q), and the change in inventories subtracted too. The overall picture thus remains positive, and full-year GDP growth should improve in 2026, to around 2.4% (up 0.3pp).

Stéphane Colliac
Head of the Advanced Economies Team, France
stephane.colliac@bnpparibas.com

Anis Bensaidani
Economist, United States
anis.bensaidani@bnpparibas.com

EDITORIAL

IS THE ENERGY CRISIS ACCELERATING THE LOW-CARBON TRANSITION? A NUANCED RESPONSE FOR ADVANCED ECONOMIES – PART 2[1]

Since the Trump administration returned to power, the already considerable disparity in energy policy between the United States and Europe has significantly increased. Admittedly, both are seeking energy sovereignty. But, while European policies remain focused on the low-carbon transition, the current US administration is focused on enhancing US dominance in the fossil fuel sector and rolling back measures that support the energy transition.

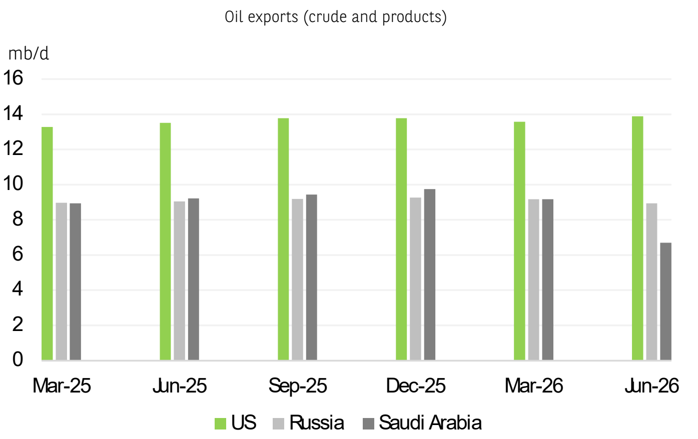
At first glance, the energy crisis is exacerbating this divergence. The US has consolidated its position as the world's leading exporter of hydrocarbons, and its strategic oil reserves have served as a buffer against the crisis. In contrast, the crisis in Europe has once again highlighted the cost of its dependence on hydrocarbon imports, which has given a significant boost to European policies for electrification and decarbonation.

Nevertheless, the analysis of the US situation needs to be contextualised, as it is part of a different dynamic. While energy sovereignty is not a driving force behind the transition as it is in Europe, the sharp rise in demand associated with the development of artificial intelligence is, in the short term, conducive to the decarbonation of the energy mix.

FOSSIL FUELS: THE WAR IN IRAN REINFORCES THE UNITED STATES' GLOBAL LEADERSHIP

The geopolitical constraints affecting exports from the two main OPEC+ producers, Russia and Saudi Arabia, are strengthening the United States' position as the world's leading exporter of oil and gas, with production rising by 3.5% and 3.8% respectively in Q2 2026 compared to the previous year. Although President Trump's goal of reducing the price of a barrel of crude oil to USD50 seems unattainable in the short term, the country's energy dominance — already evident before the crisis — has been reinforced since the outbreak of the war in Iran. In January 2026, US oil exports (both crude and refined products) accounted for 63% of the combined exports of Saudi Arabia and Russia, and were 1.1 times higher than those of the two countries in May 2026. As for gas (both liquefied and piped), US export volumes have remained above 21 billion cubic metres (bcm) per month since the start of the year, while exports from Qatar have plummeted by nearly 80% (to 3.2 bcm in May 2026). Meanwhile, Australian exports (LNG only) have stabilised at around 8 bcm since the start of the year.

Rising US dominance in the oil market



SOURCE: JODI, IEA, BNP PARIBAS

EUROPE REMAINS COMMITTED TO ITS CLIMATE TARGETS

In Europe, the situation is very different, even the opposite. Committed to a strategy aimed at reducing its greenhouse gas emissions, it is difficult for Europe to face the energy crisis by increasing hydrocarbon production, except perhaps on a temporary basis. Nevertheless, rising energy prices have increased pressure to boost European hydrocarbon production. For the time being, the common objective seems to be to maintain current production levels wherever possible. In Norway — a key supplier of gas to the EU and the UK — the reopening of offshore gas fields, announced last May, is expected, according to the Norwegian government, to enable production to be maintained at its 2025 level. In the UK, the new Burnham government is expected to extend the moratorium — reaffirmed last March — on any new exploration licences. Nevertheless, it could incentivise oil companies to increase production from existing oil fields and, in particular, authorise 'tiebacks', which are new wells connected to existing sites.

The shift to coal appears to be minimal in Europe, despite European LNG prices having almost doubled since the end of February. In Germany, where coal accounted for 24% of the electricity mix in 2024 — the highest proportion in the EU after Poland — the official target remains the complete phase-out of coal by 2038 (any potential increase in its use is expected to be temporary). According to the IEA, in the European Union, the increase in renewable energy production compensated for the decline in electricity generation from gas between March and May 2026 (-3.5% year-on-year).

ELECTRIC VEHICLES: REBOUND IN EUROPE, CONTRACTION IN THE US

Since the onset of the energy crisis, fuel price rises have been more pronounced in the United States (+23% in June 2026 year-on-year) than in the European Union (+14%), due in particular to the lower level of fuel taxation in the United States.

1 Read part 1 of this editorial in our EcoWeek of 27 July 2026: Is the energy crisis accelerating the low-carbon transition? Part one: In emerging economies, yes.

Despite these rises, sales of electric vehicles — a key driver of the electrification of transport — have exhibited contrasting trends. Over the first five months of the year, sales of battery electric vehicles rose by over 31% year-on-year in Europe, while they fell by 25% in the United States[2]. Changes in government subsidies for electric mobility largely account for these changes, which will further widen the disparity in the market share of electric vehicles (as a percentage of new registrations). Consequently, the share of electric vehicles was 5.5% in May 2026 in the United States (7.5% for the whole of 2025) and 24% in Europe in May 2026 (20% in 2025).

In the United States, all federal incentives — primarily tax credit for purchases and grants for the installation of charging points — have been phased out since 2025. Only state-level incentives remain, which are insufficient to compensate for the end of federal support. In contrast, in the European Union and the United Kingdom, the scale of support measures, including purchase grants and tax rebates, has contributed to a resurgence in sales in the first half of 2026. Most of these measures were in place before the crisis and, for the time being, the crisis has resulted in only minor modifications, such as the extension of social leasing in France and increased support for the installation of charging points in the United Kingdom.

ELECTRIFICATION: HEIGHTENED EUROPEAN AMBITIONS

In June 2026, the European Union announced an ambitious programme aimed at accelerating the electrification of end-use sectors. The aim is to achieve an electrification rate of 46% by 2040, up from the current rate of 23%. This target is highly ambitious, as the rate has seen little progress for over a decade, despite the policies implemented. As a point of reference, the electrification rate stands at 22% in the United States and 30% in China. This European initiative specifically aims to:

1/ reduce the cost disparity for industry between electricity and fossil fuels, as electricity is still twice as expensive in 21 Member States due to taxes, network charges, and public subsidies that may favour fossil fuels[3];

2/ enhance electricity storage to increase the flexibility of renewable energy[4] by quadrupling capacity by 2030 to reach 200 GW;

3/ accelerate the electrification of corporate vehicle fleets;

4/ reform the carbon tax mechanism. Alongside this specifically European initiative, the European Union, together with other countries (including the United Kingdom), is spearheading the international 'Electrify Now' programme, which aims to accelerate the electrification of transport, industry and the building sector to achieve a target of 35% by 2035. This initiative will form part of the forthcoming COP 31 and COP 32 conferences.

DECARBONATION OF THE ELECTRICITY MIX: SOLAR PRIORITISED

In both Europe and the United States, the drive towards decarbonation appears to have gathered pace since March. Although imports of solar panels from China to the European Union and the United Kingdom decreased in 2025 (by 19% and 3% year-on-year respectively), they rose significantly between March and May 2026 (by 25% and 54% year-on-year respectively). The wind power sector is, by its very nature, less responsive in the short term given the lead times involved. Nevertheless, while Europe continues to set out ambitious targets such as a 50% increase in installed capacity by 2030, the current US administration has stated its opposition to the development of this sector. In 2025, the installed wind power capacity in Europe was 1.9 times greater than that of the United States.

In the United States, analysing trends in decarbonation is complicated by two main factors: the trade war with China and the rise in energy consumption driven by the development of artificial intelligence applications. In 2025, imports of solar panels from China to the United States increased by 26% and saw a remarkable surge of 178% year-on-year between March and May 2026, despite the introduction of 60% tariffs on these products in 2025 (which were previously set at 25% under the former administration). The rise in energy demand driven by the development of artificial intelligence appears to have mitigated the impact of the tariff increases. The proportion of electricity consumption attributed to data centres has grown by 63% since 2020, reaching 6.5% in 2025[5], which has resulted in sharp increases in electricity prices in some regions. According to the IEA, the growth of AI is responsible for 50% of the increase in electricity consumption. In the short term, due to considerable delays in the commissioning of gas-fired power stations caused by high demand, it is anticipated that most of the additional energy generation capacity will derive from a combination of solar power and stationary batteries, despite the rising costs affecting this sector[6].

Regardless of the national energy context, the rise in demand for low-carbon technologies — whether or not accelerated by the energy crisis — will benefit Chinese exports. Already the undisputed leader in solar panel production, China holds dominant positions across the entire electric battery value chain. This sector is expected to continue experiencing very strong growth in the coming years, both to power US data centres and to allow higher proportions of renewable energy in the European electricity mix.

Pascal Devaux
pascal.devaux@bnpparibas.com

2 Jefferies, June 2026.
3 European Commission, 2026, *Electrification Action Plan*. The European Commission reports that subsidies for fossil fuels amounted to EUR 97 bn in 2024 (averaging EUR 60 bn between 2015 and 2019).
4 For further information on this topic, see our article "European Union: low carbon transition and energy sovereignty, a path fraught with obstacles".
5 Energy Institute, 2026, *Statistical Review of World Energy*.
6 Lazard, July 2026, *Levelised Cost of Energy+*.

Find out more in our scenario and forecasts

ADVANCED ECONOMIES

EUROZONE

ECB on hold, September hike likely as activity holds up. The ECB kept its deposit rate at 2.25% on Thursday in a unanimous decision. The press conference was quite hawkish but several members who spoke later want to retain optionality. The ECB will have been reassured by the easing in the latest inflation expectations, whether from consumers (1-year inflation expectations fell to 3.0% in June from 3.5% in May while the 3-year gauge slipped to 2.8% from 2.9%; or professional forecasters (The Q3 2026 Survey projects Eurozone inflation at 2.7% for 2026, 2.2% for 2027, and 2.0% for 2028 and the longer term). Separately, Eurozone businesses do not expect a pickup in wage growth in 2026 or 2027, suggesting no second-round effects so far, a point emphasized by President Lagarde.

Activity surveys robust in July despite tighter financial conditions. The flash composite PMI improved to 51.9 (+1.9 pts), the highest since February, with new orders climbing at their fastest pace since April 2023. The manufacturing output index reached a four-and-a-half year high (53.0, +1.3 pts) while the services index rebounded in expansion territory to 51.6 (+2.2 pts). Output and input price indices eased again, but from a high level. Consumer confidence improved for the third month running in July (-15,9; +1.8 pts), according to EC's flash estimate. Meanwhile, credit standards (enterprises and households) continued to tighten in Q2 2026, albeit much less than expected. Further net tightening is expected in Q3.

France: Business climate recovering and inflation pressures easing in July. Flash PMIs broadly improved: composite to 49.6 (from 47.2 in June); services to 49.8 (from 46.8 in June); manufacturing deteriorated to 50 (51.2 in June), avoiding contraction territory. Meanwhile, INSEE business confidence beat expectations by rising to 97 (95 in June), a 4-month high, mainly driven by retail trade (99 in July, 91 in June), services (98 in July, 96 in June) and manufacturing sectors (101 in July, 100 in June). Weak sectors since March improved in July (retail, accommodation and catering, business services including temporary employment). Both surveys show lower inflation pressures, particularly in manufacturing and construction. **Business creations** decreased by 2.2% m/m in June (after +10.6% m/m in May) but still increased by 11.7% in H1 (+5% in 2026), mainly driven by AI-related sectors (information and communication, business services) and continue to far outpace insolvencies. The IMF concluded its annual review of France warning that its **budget deficit** will reach 5.2% of GDP in 2026, which is wider than the government's 5.0% target. Prime Minister Lecornu appears to agree, saying he is "not very optimistic" France will meet its 2026 budget goals.

Germany: Business activity unexpectedly expanded for the first time since March. S&P Composite PMI increased to 51.2 in July from 49.5 in June, unexpectedly rising above the 50 threshold. The boost was driven by manufacturing, which jumped to 52.2 — also its strongest reading in four months and marking six months of expansion. The services sector also improved, rising to 49.6 (+1). An Ifo Institute survey found US tariffs are negatively affecting nearly two-thirds of German industrial manufacturers. Almost 40% of firms said they have scrapped, delayed, or adjusted at least one investment project as a direct result of US trade policy.

The ZEW investors sentiment Index climbed to 26.3 points in July, up from 10.5 in June. This rise significantly outperformed market expectations of 18, reaching its highest level since February.

UNITED KINGDOM

Good surprises for the new Cabinet on activity, inflation, and jobs. Andy Burnham took office as new PM on Monday, with a Cabinet mixing Blairites — notably the Chancellor — and more left-leaning members. His priorities include cost of living, fiscal responsibility, devolution of power, and remedying the problems that emerged from the privatisation of utilities in the 1980s/90s. The flash composite PMI jumped to a three-month high of 52.1 in July (+2.8 pts m/m), significantly outperforming expectations. The rebound was supported by strong manufacturing output (53.6; +1 pt m/m) and a return to growth in services at 51.8 (+3 pts m/m). The manufacturing flash PMI also climbed to 52.8 (+0.3 pt m/m), with new orders hitting their highest reading since February 2022. Both sectors reported easing cost pressures. Inflation fell to a 15-month low in June: CPI rose 2.6% y/y, the lowest since March 2025. Retail sales volumes rose 1.0% in June, the fifth consecutive month of upside surprise. Unemployment held at 4.9% for the three months to May. Average weekly earnings for the three months to May rose by 4.3% y/y, with private-sector wage growth easing to +2.9, the lowest reading since October 2020. We expect the BoE to hold its policy rate at 3.75% this week.

UNITED STATES

Solid data makes Fed meeting a risk event. Weekly jobless claims fell far more than consensus expectations, to their lowest since 1969. At the same time, the S&P composite PMI rose strongly in July (53.6, +1.7 point), led by more robust activity in services (53.6, +2.4 pts), while the manufacturing index missed expectations but was broadly stable, close to 54. Given the continued rise in oil prices, and its inflation-fighting credibility at stake, there is a risk a majority of FOMC voters would support a rate hike this week, albeit our base case remains the Fed waits until after the mid-term elections to hike.

Tariff noise returns: The Trump administration announced new import duties of 10%-12.5%, effective from July 25, on goods from approximately 60 trading partners (86 if EU members are counted individually), citing inadequate protections against forced-labor. These tariffs will conveniently replace the universal 10% tariff under section 122 expired on 24/7 that the administration had put in place after the Supreme Court struck down most of the tariffs imposed in 2025. Food, energy and products subject to sector-specific duties are exempted. The resulting effective rate is little changed for most countries (and improves in absolute terms for Belgium and Italy, and in relative terms for most European countries). In addition, Canada is threatened with a 50% tariff on 5% of its exports to the US to take effect within 30 days, while a new 100% tariff on generic drug imports is set to become effective in August 2028, rising to 200% in August 2029, for manufacturers that do not relocate production to the US. President Trump also threatened additional tariffs on the EU in retaliation to recent "unethical" fines against US tech companies. He also announced plans to cut tariffs on raw aluminum imports to reduce input costs for the defence industry.

Find out more in our scenario and forecasts

JAPAN

Verbal support fails to stem yen depreciation. USD/JPY hit a fresh 40-year low of 163.99 despite renewed intervention warnings from the MoF and BoJ officials letting it be known that they are open to raising rates faster than consensus expects, as persistent yen weakness adds to upside inflation risks. Inflation rebounded to 1.7% y/y in June (+0.2 pp) as energy deflation eased on the back of government energy subsidies being scaled back. That said, core inflation slowed further to 1.6% (-0.1 pp), a near four-year low. Activity remained robust in July, on manufacturing strength. The composite PMI index edged higher (53.1, +0.3 pt), as manufacturing output hit its highest level since February 2014 (56.1, +1.8 pts), while services activity dipped (51.9, -0.3 pt). The BoJ is widely expected to hold its policy steady at its July 31 meeting, having raised the benchmark rate to 1% last month (our base case is for another hike in October).

EMERGING ECONOMIES

ASIA

China: Export controls on EU entities and a yellow card from the US. China added 14 European companies to its export control list, banning dual-use exports immediately, in retaliation for EU sanctions. The US Treasury's semi-annual FX report called out China for its "relative lack of transparency" around currency management, though it stopped short of labelling China a currency manipulator.

Indonesia: Bank Indonesia kept its policy rate unchanged at 5.75%. Although downward pressures on the rupiah remain strong (close to the threshold of IDR18000 per USD), the Central Bank argued that targeted measures to attract capital inflows and support the rupiah would be more effective than rate hikes. The unexpected resignation of Bank Indonesia's Governor Perry Warjiyo has heightened concerns over the central bank's independence and policy continuity, increasing uncertainty for investor confidence, the rupiah and Indonesian financial markets until a credible successor is appointed.

South Korea: Real GDP growth remained robust in Q2 at 3.7% y/y (after 3.8% in Q1). Exports continued to grow strongly and the boom in tech is spilling over to the rest of the economy.

EUROPE, MIDDLE EAST, AFRICA

Hungary: More monetary policy easing. As expected, the Central Bank lowered its policy rate by 25 bp to 5.75%. Year to date, the key rate has been cut by a cumulative 75 bp. Central Bank rhetoric suggests one more rate cut next month. Contained inflation (1.7% y/y in June) and the recent appreciation of the forint provide leeway to ease policy.

Türkiye: Monetary stand-by. The CBRT kept the policy rate unchanged at 37%, in line with market expectations. The interest rate corridor (lower bound 35.5%, upper bound 40.0%) was also left unchanged. Overall, despite acknowledging weaker activity, the MPC statement suggests greater concerns about inflation than growth, and the Committee does not appear ready to signal the start of an easing cycle.

South Africa: Inflation and Central Bank surprises. Inflation rose from 4.5% y/y in May to 5.0% in June, above consensus. Core inflation rose to 4.1%, a two-year high. Yet the Central Bank kept its policy rate at 7% on June 23, against a widely expected 25bp hike.

LATIN AMERICA

Argentina: Country risk rating upgrade tarnished by poor activity indicator. Moody's upgraded Argentina by one notch to B3 (from Caa1) with a positive outlook. All three major rating agencies now rate Argentina above the highly distressed category. Meanwhile, the monthly proxy indicator of real GDP contracted by 0.5% m/m in May for a second straight month. From a year ago, it grew only 0.2%, well below the 2.5% median estimate of economists surveyed by Bloomberg. Agriculture and mining led growth on an annual basis, while manufacturing and retail fell.

ENERGY

Oil prices remained flat w/w after a volatile week. Oil prices (Brent) breached the USD 100/b threshold last week, as Middle Eastern oil exports were again placed under severe constraints by geopolitical developments. Market pressure remains intensified by historically low US strategic and OECD commercial inventories. **The pause on strikes between US and Iran during the week-end entailed a sharp drop in prices on Monday** to 90 $/b at the opening.

European gas benchmarks too (TTF) have been volatile during the week. They reached their highest levels since January 2023 (EUR 64 MWh) last week before sharply falling on Monday. Short-term prospects for a recovery in Gulf LNG exports are deteriorating, while intensifying competition between European and Asian markets is driving price appreciation. Since mid-July, TTF and JKM (the Asian market benchmark) prices have risen by 10% and 29%, respectively (compared to Monday 27th prices).

MARKETS OVERVIEW

Bond Markets

	in %	in bps			
	24/07/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	2.82	+10.0	+26.8	+73.1	+91.4
Bund 5Y	2.91	+9.8	+29.7	+44.7	+69.0
Bund 10Y	3.15	+7.2	+27.4	+28.3	+49.0
OAT 10Y	3.88	+12.2	+37.4	+38.5	+51.9
BTP 10Y	3.96	+13.5	+35.9	+46.5	+40.9
BONO 10Y	3.59	+7.5	+30.0	+34.6	+35.4
Treasuries 2Y	4.33	+5.4	+18.7	+84.9	+38.8
Treasuries 5Y	4.44	+6.5	+25.2	+71.0	+47.3
Treasuries 10Y	4.68	-1.2	+28.1	+51.7	+3.2
Gilt 2Y	4.43	+6.1	+30.1	+67.6	+55.8
Treasuries 5Y	4.60	+7.4	+34.5	+75.3	+56.4
Gilt 10Y	5.11	-3.9	+42.3	+47.6	+17.2

Currencies & Commodities

	Level	Change, %			
	24/07/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1.14	-0.2	+0.3	-3.1	-3.3
GBP/USD	1.33	-0.4	+1.4	-0.9	-1.6
USD/JPY	163.75	+0.8	+1.2	+4.5	+11.5
DXY	101.47	+0.2	-0.1	+3.2	+1.2
EUR/GBP	0.85	+0.1	-1.0	-2.2	-1.7
EUR/CHF	0.93	+0.4	+0.8	-0.0	-0.6
EUR/JPY	186.33	+0.6	+1.5	+1.2	+7.9
Oil, Brent ($/bbl)	96.86	+16.3	+31.2	+59.2	+39.9
Gold ($/ounce)	4076	+1.5	+1.9	-5.8	+20.9

Equity Indices

	Level	Change, %			
	24/07/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World ($)	4789	-1.0	+0.9	+8.1	+16.1
North America					
S&P500	7412	-1.4	+0.7	+8.3	+16.5
Dow Jones	51947	-1.1	+0.2	+8.1	+16.2
Nasdaq composite	24976	-3.5	-2.0	+7.5	+18.6
Europe					
CAC 40	8372	+0.1	-0.2	+2.7	+7.1
DAX 30	25099	-0.1	+1.4	+2.5	+3.3
EuroStoxx50	6281	+0.2	+1.1	+8.5	+17.3
FTSE100	10736	+2.3	+2.6	+8.1	+17.5
Asia					
MSCI, loc.	1929	+0.0	+0.7	+14.2	+25.3
Nikkei 225	64611	-3.9	-6.6	+28.4	+54.5
Emerging					
MSCI Emerging ($)	1628	-1.3	-5.9	+15.8	+28.5
China	73	+0.9	+2.6	-12.1	-10.0
India	925	-2.6	-2.9	-12.7	-12.6
Brazil	1854	+1.2	+6.3	+12.6	+32.6

Performance by sector

Eurostoxx600

Year 2026 to 24-7, €

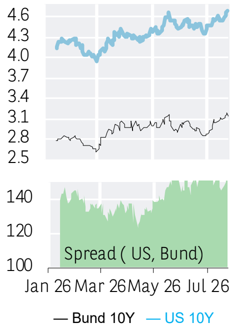
+31.6%	Oil & Gas
+17.3%	Banks
+16.9%	Commodities
+16.7%	Technology
+15.5%	Utilities
+13.1%	Chemical
+9.1%	Industry
+8.8%	**Eurostoxx600**
+7.5%	Telecoms
+6.7%	Financial services
+6.6%	Insurance
+4.9%	Food industry
+2.7%	Real Estate
+0.7%	Health
+0.1%	Retail
-1.9%	Travel & leisure
-2.8%	Construction
-5.8%	Media
-9.0%	Consumption Goods

S&P500

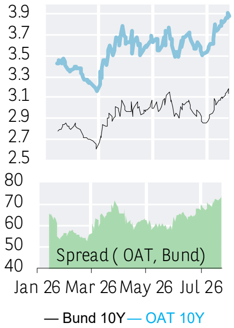
Year 2026 to 24-7, $

+33.6%	Semiconductors
+33.0%	Energy
+33.0%	Tech. Hardware & Equip.
+21.4%	Capital Goods
+12.1%	Food, Beverage & Tobacco
+11.1%	Materials
+10.8%	Pharmaceuticals
+9.4%	Bank
+8.4%	Utilities
+8.3%	**S&P500**
+6.6%	Insurance
+4.3%	Retail
-0.7%	Consumer Discretionary
-2.6%	Telecoms
-4.4%	Media
-4.6%	Healthcare
-4.8%	Consumer Services
-6.2%	Commercial & Pro. Services
-27.1%	Automobiles
-30.4%	Real Estate

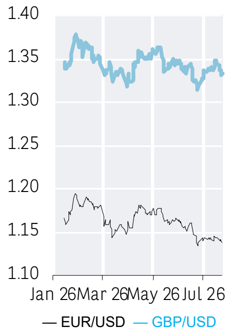
Bund 10Y & US Treas. 10Y



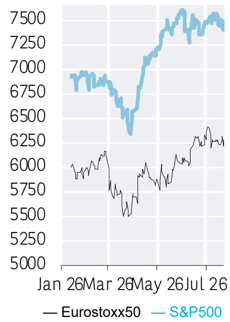
Bund 10Y & OAT 10Y



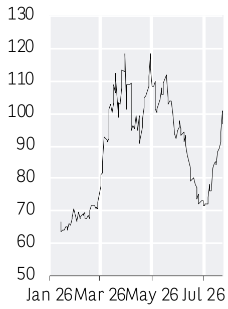
EUR/USD & GBP/USD



EUROSTOXX 50 & S&P500

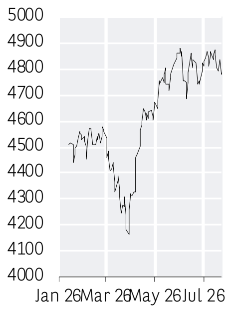


Oil, Brent ($/bbl)



Gold ($/ounce)

MSCI World ($)



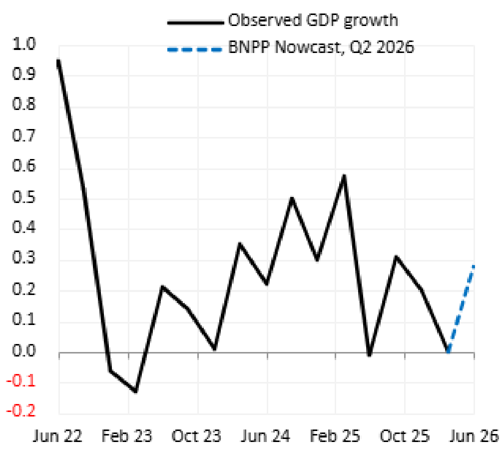
MSCI Emerging ($)

SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB

The scenario, forecasts and nowcasts of the Economic Research – 27 July 2026

NOWCASTS OF THE ECONOMIC RESEARCH

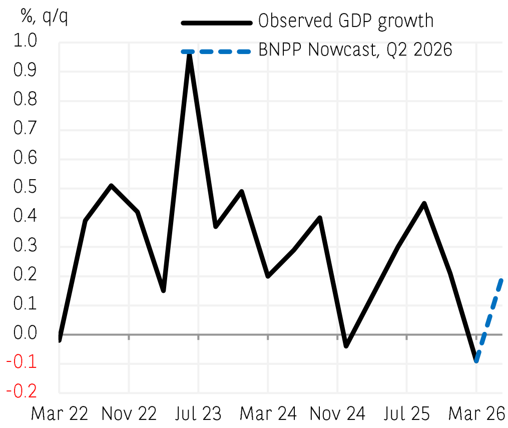
Eurozone



Source: Refinitiv, BNP Paribas

Our *nowcast* for Eurozone growth has been revised higher on the back of the improvement in the PMI data in June and lower Brent prices. It is now pointing to a 0.3% q/q GDP growth in Q2.

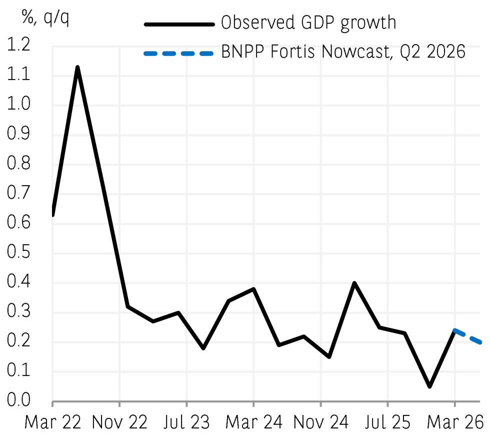
France



Source: Refinitiv, BNP Paribas

Our *nowcast* for French GDP growth suggests a recovery in Q2 2026, at +0.2% q/q, driven by the one-off factors that weighed on Q1 GDP (aeronautics exports and construction output).

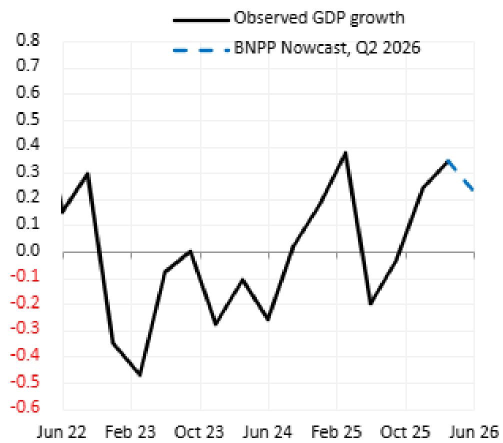
Belgium



Source: Refinitiv, BNP Paribas

Our *nowcast* for Q2 Belgium GDP growth suggests a stable growth in Q2 (0.2% q/q, a performance already observed in Q1). The transactions data suggests again a quite favorable performance in Q2, while uncertainty on the pass-through of energy inflation to other sectors implies a downside risk to the *nowcast*

Germany



Our Germany nowcast indicates that growth reached 0.2% q/q in the second quarter, marking a third consecutive quarter of growth (+0.2% q/q in Q4, +0.3% in Q1) – a performance not seen since 2022. Public spending (defense and infrastructure) is driving a recovery of industrial and construction activity.

.

Read the Nowcast methodology
Tarik.rharrab@bnpparibas.com

ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

%	GDP Growth 2024	GDP Growth 2025	GDP Growth 2026 e	GDP Growth 2027 e	Inflation 2024	Inflation 2025	Inflation 2026 e	Inflation 2027 e
United States	2.8	2.1	2.4	2.5	2.9	2.7	3.2	2.5
Japan	-0.2	1.1	0.8	1.1	2.7	3.1	2.0	2.3
United Kingdom	1.0	1.4	1.0	1.2	2.5	3.4	3.2	3.1
Euro Area	0.9	1.5	0.8	1.6	2.4	2.1	2.7	2.6
Germany	-0.5	0.3	0.8	1.1	2.5	2.3	2.3	2.4
France	1.1	0.9	0.8	1.1	2.3	0.9	2.2	1.6
Italy	0.6	0.7	0.8	0.8	1.1	1.7	2.4	1.7
Spain	3.5	2.8	2.3	2.2	2.8	2.7	3.5	3.2
China	5.0	5.0	4.6	4.5	0.2	0.0	1.3	1.6
India*	7.1	7.7	3.7	6.8	4.6	2.1	5.1	4.3
Brazil	3.4	2.3	2.3	1.4	4.4	5.0	4.7	5.1

Source : BNP Paribas (e: Estimates & forecasts)
Last update: 24/07/2026
* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, %		2026				2027
End of period		Spot 20/07	Q2	Q3	Q4	Q4
US	Fed Funds (upper limit)	3.75	3.75	3.75	4.00	4.50
	T-Note 10y	4.37	4.55	4.65	4.75	4.85
Eurozone	deposit rate	2.25	2.25	2.50	2.50	2.50
	Bund 10y	3.09	3.15	3.20	3.35	3.10
	OAT 10y	3.82	3.77	4.00	4.17	3.60
	BTP 10y	3.90	3.85	3.95	4.10	3.60
	BONO 10y	3.54	3.57	3.64	3.79	3.42
UK	Base rate	3.75	3.75	4.00	4.00	3.50
	Gilts 10y	5.03	4.70	4.60	4.50	4.30
Japan	BoJ Rate	0.75	1.00	1.00	1.25	2.00
	JGB 10y	2.68	2.70	2.85	2.85	3.10
Exchange Rates		**2026**				**2027**
End of period		Spot 20/07	Q2	Q3	Q4	Q4
USD	EUR / USD	1.14	-	1.15	1.16	1.20
	USD / JPY	164	-	163	165	165
	GBP / USD	1.33	-	1.32	1.32	1.36
EUR	EUR / GBP	0.85	-	0.87	0.88	0.88
	EUR / JPY	186	-	187	191	198
Brent		**2026**				**2027**
Quarter Average		Spot 20/07	Q2	Q3	Q4	Q4
Brent	USD/bbl	101	89	72	78	79

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy), Last update: 24/07/2026

Contacts
Stephane.colliac@bnpparibas.com
Tarik.rharrab@bnpparibas.com

UNITED STATES

The US economy is expected to grow above its potential in 2026, with an average annual growth rate of 2.4%, a yearly improvement (up from 2.1% in 2025). This apparent resilience to energy, uncertainty and tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, driven by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). Inflation overshooting is set to continue (3.2% in 2026) at least through 2028, largely because of the rise in oil prices and tariffs – although the impact of these appears to be less significant than expected. The labour market is showing clear signs of improvement that should bring the unemployment rate down toward 4.0%. Given this shift in price and employment risks amid dynamic growth, we expect the FOMC to start a cycle of three rate hikes (+25pb each) before the end of 2026, bringing the Fed Funds target range at 4,25% - 4,50% in Q1 2027.

CHINA

Economic growth slowed to 4.3% y/y in Q2 2026 vs. 5.0% in Q1. It is projected to reach 4.6% in 2026 as a whole, down from 5% in 2025. Growth remains characterized by a K-shaped trajectory, and the gap between the strong performance of exports and the fragility of sectors that rely on domestic demand has even widened this year. Domestic demand rebounded in the first two months of 2026 but has weakened significantly since March. The crisis in the property sector continues and household confidence remains low. Fiscal and monetary policy measures aimed at supporting economic growth are expected to continue but remain modest. CPI inflation has rebounded slightly since March, mostly due to the rise in global energy prices, as well as due to the increase in electronic good prices and anti-involution measures implemented by the authorities. Deflationary pressures persist, however, given weakness in domestic demand.

EUROZONE

Eurozone growth would slow in 2026 due to spillovers from the Middle East conflict. In Q1 2026, GDP was stable mainly due to the volatility of Ireland's GDP data. In 2026, consumption would be held back by falling real wages. GDP growth, which reached 1.5% in 2025, would slow down to 0.8% in 2026, before picking up at 1.6% in 2027. Activity would nevertheless withstand the energy shock, supported by investment in defence, AI, and electrification, which should continue to boost intra-EU trade. Inflation would rebound to 2.7% in 2026 (compared to 2.1% in 2025) on the back of the energy shock and plateaued at 2.6% in 2027. As inflation rebounds, we continue to expect one further 25-basis-point hikes in the ECB's policy rate in Q3 2026– pushing the deposit facility rate to 2.5%.

FRANCE

GDP growth deteriorated to -0.1% q/q in Q1 (after 0.2% q/q in Q4) as a result of one-off factors, including low aeronautics exports (-20% q/q despite an increase of the output) and construction output (-1.5% q/q). From Q2 2026, growth should be affected by the impact of higher oil prices on inflation (2.4% in 2026, after 1% in 2025) and household purchasing power (with a likely impact on their consumption). In 2026, GDP growth should reach 0.8% in 2026 (after 0.9% in 2025), driven by public spending and private investment in AI. Higher inflation (2.2% in 2026, after 1% in 2025) would weigh on GDP growth.

UNITED KINGDOM

Economic activity is expected to slow in 2026, with growth decelerating to 1% from 1.3% in 2025; following +0.4% q/q in Q1 and -0.1% m/m in April, growth increased by +0.1% m/m in May, bringing the average quarterly pace for the remainder of the year down to approximately +0.1%. This slowdown is set against a backdrop of renewed inflationary pressures triggered by the war in Iran: inflation is projected to reach 3.2% y/y, and to remain sticky and well above BoE's target at +3.1% in 2027. In this context, and contrary to the initially envisaged easing scenario, monetary policy would shift toward a 25bp rate hike in H2 2026. 10y gilt yields will remain elevated in 2026, before falling to 4.30% in 2027 on reduced net supply, a decline in political risk premia and a market starting to eye BoE rate cuts.

JAPAN

We expect annual GDP growth to stand at 0.8% in 2026, down from 1.1% in 2025. Higher inflation and production costs associated with the energy shock are expected to weigh on the economy's overall performance. On the other hand, the latter is supported by fiscal policy and AI-related investment. Inflation has generally overshot the 2% y/y target since 2022. Accordingly, the Bank of Japan initiated a cautious process of "adjustment in the degree of monetary accommodation" in 2024, lifting the policy rate to 1.0% so far (previously negative) – the highest since 1995. We expect a 25pb hike about every four to five months until a 2.50% terminal rate in 2028. Japan is facing long-term rates pressure, illustrated by historically high 10- and 30-year yields, probably fueled by the level of public debt and the pace of monetary adjustment.

EXCHANGE RATES

In our base-case scenario (gradual normalisation of the Middle East situation with persistent price tensions), we expect the USD depreciation against the EUR to resume, albeit very gradually, amid broader diversification away from the dollar. We forecast EUR/USD to reach 1.16 by Q4 2026 and 1.20 by Q4 2027. We anticipate a depreciation of the yen and the GBP against the dollar in 2026 (USD/JPY 165 and GBP/USD 1.32 by Q4 2026) and 2027.

ECOPERSPECTIVES

July 2026

Emerging Economies:
So far weathering the energy shock well

By Emerging Economies Team

ECONOMIC RESEARCH by BNP PARIBAS

BNP PARIBAS

The bank for a changing world

Emerging economies have so far shown resilience in the face of the energy crisis

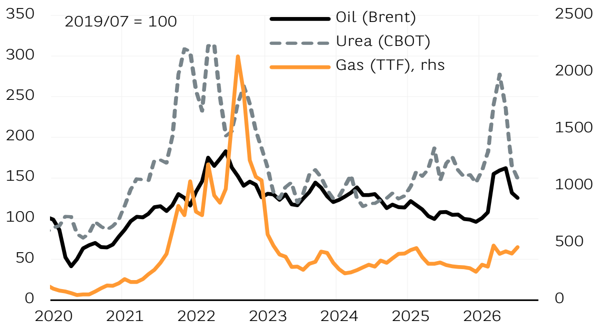
- Emerging economies have so far withstood the energy shock caused by the conflict in the Middle East better than expected.
- The surge in oil, gas and energy-related input prices was rapid, but less inflationary than in 2022.
- While monetary policy easing cycles have been interrupted in many countries, most central banks have been able to keep their policy rates unchanged since last February.
- Emerging financial markets have not faced a widespread loss of confidence, while macroeconomic buffers are stronger than in the summer of 2022, helping to absorb the rise in energy costs.
- In Asia, the region most dependent on hydrocarbons from Gulf countries, the authorities have acted swiftly to limit the risks of shortages by diversifying supply sources, mobilizing reserves and adjusting demand.
- Most importantly, Asian countries that export tech goods have benefited significantly from the rise in artificial intelligence. Investment in AI infrastructure and global demand for chips and other electronic goods have bolstered economic growth and the external accounts of several emerging economies, sometimes offsetting the negative impact of the energy shock.
- In the short term, the average growth rate of emerging economies is expected to slow only moderately. In our baseline scenario, we project an average real GDP growth of just under 4% in 2026, after 4.5% in 2025.
- However, risks remain high, including persistent inflation, expected hikes in US Fed rates, geopolitical tensions, volatility in commodity prices and the risk of a correction in the tech cycle.

For more information, please refer to our publication:

EcoPerspectives - Emerging Economies | 3rd quarter of 2026, as of July 13, 2026– Economic Research – BNP Paribas

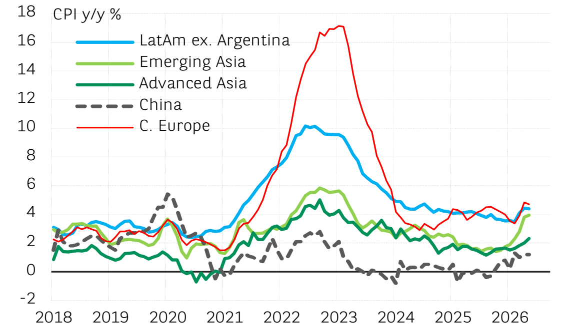
Emerging economies: Manageable consequences of the energy shock

Energy prices eased in June, but the oil shock is not over



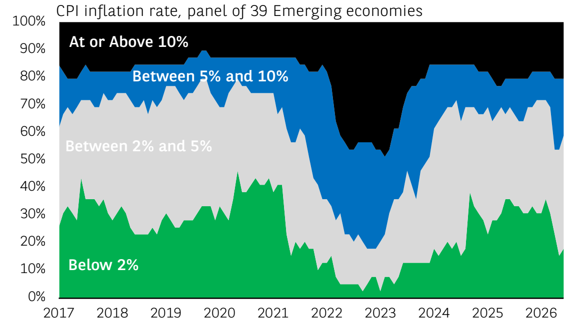
Source: Bloomberg, BNP Paribas

Inflation pressures have increased …



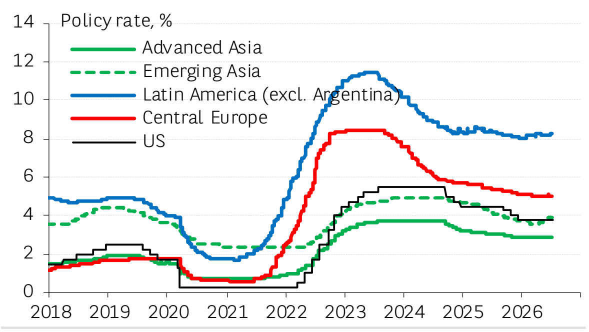
Source: Central banks, Macrobond, BNP Paribas

… but are still moderate



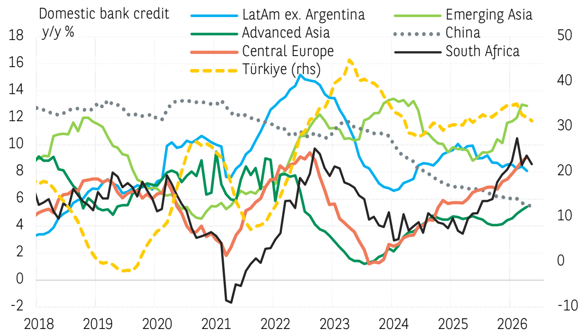
Source: Central banks, Macrobond, BNP Paribas

Monetary tightening is not widespread so far



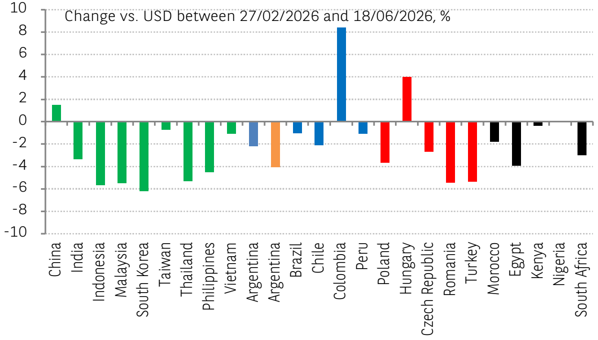
Source: Central banks, Macrobond, BNP Paribas

Bank credit growth still accelerating in Asia (excl. China) and Central Europe, slowing in Latam and Türkiye



Source: Central banks, BNP Paribas

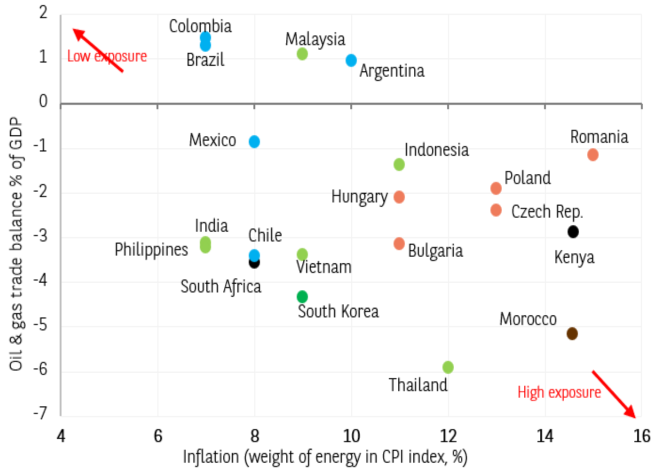
EM currency depreciations remained manageable during the first phase of the war in Iran



Source: Macrobond, BNP Paribas

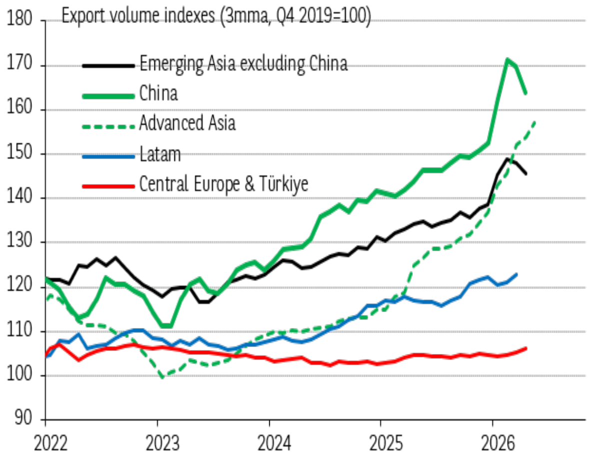
Emerging economies: Manageable consequences of the energy shock

The Asian region is highly exposed to the energy shock



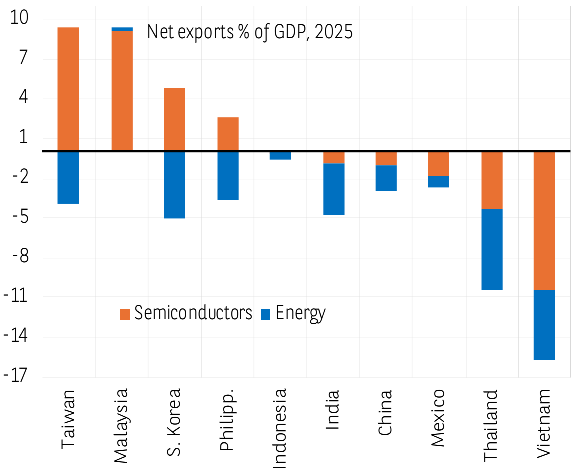
Source: ITC, national stat. offices., BNP Paribas

Producers of tech goods enjoy strong export growth



Source: CBP, Macrobond, BNP Paribas

The impact on trade and current account balances depends on the country's position in the value chain



Source: ITC, IMF, BNP Paribas

-Emerging Asia: light green (India, Indonesia, Malaysia, Philippines, Thailand, Vietnam)
-Advanced Asia: dark green (HK, Singapore, South Korea, Taiwan)
-Central Europe (orange): Bulgaria, Czech Rep., Hungary, Poland, Romania, Slovakia
-Latin America (blue): Argentina, Brazil, Chile, Colombia, Mexico, Peru
-Middle East & Africa (black)

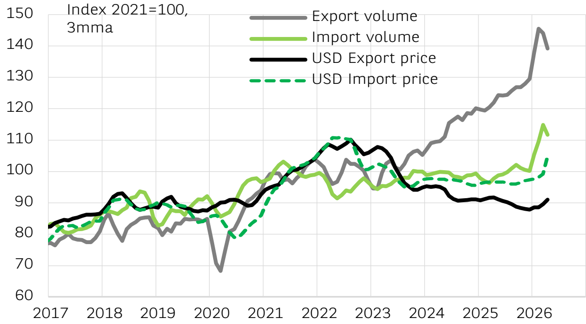
Asia – China & South Korea: Activity supported by the rise in global demand for AI goods

China: Economic growth projected to slow moderately in 2026-2027, inflation to recover slightly

	2022	2023	2024	2025	2026e	2027e
Real GDP growth, %	3.1	5.4	5.0	5.0	4.6	4.5
Inflation, CPI, year average, %	2.0	0.2	0.2	0.0	1.3	1.6
Official budget balance / GDP, %	-2.7	-3.8	-3.0	-4.0	-4.0	-4.0
Official general government debt / GDP, %	49.4	54.7	60.9	68.5	74.6	77.5
Current account balance / GDP, %	2.2	1.4	2.5	3.8	3.5	3.4
External debt / GDP, %	13.4	13.4	12.5	11.9	11.7	11.4
Forex reserves, USD bn	3 307	3 450	3 456	3 744	3 844	3 924
Forex reserves, in months of imports	12.5	13.0	12.5	13.6	13.4	13.2

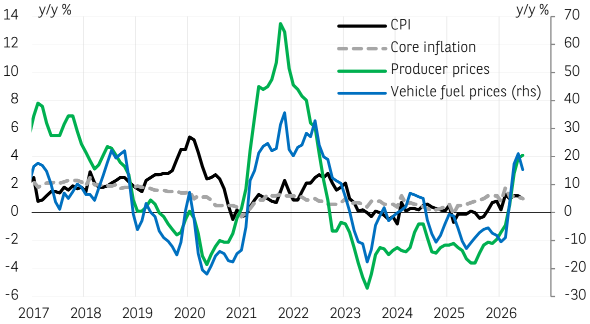
Source: BNP Paribas

China: External trade impacted by energy shock and global surge in AI investment



Source: CPB, BNP Paribas

China: Higher CPI inflation mostly due to increase in commodity prices



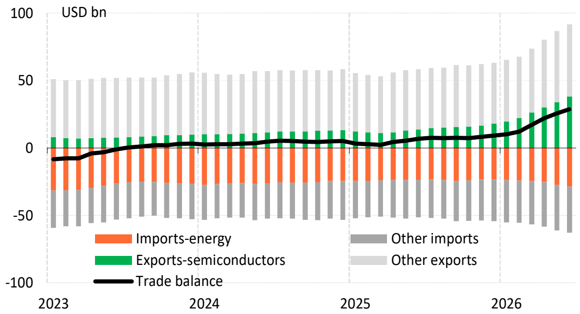
Source: NBS, BNP Paribas

South Korea: Solid economic growth thanks to semiconductors

	2022	2023	2024	2025	2026e	2027e
Real GDP growth, %	2.6	1.4	2.0	1.0	3.1	2.2
Inflation, CPI, year average, %	5.1	3.6	2.3	2.0	2.6	2.3
Central gov. balance / GDP, %	-5.0	-3.6	-4.1	-4.5	-4.8	-4.5
Gen. Gov. debt / GDP, % (EU standards)	46.2	48.8	50.6	52.5	54.2	56.1
Current account balance / GDP, %	1.4	1.8	5.3	6.6	8.2	7.4
External debt / GDP, %	38.6	39.5	37.5	40.5	37.4	34.0
Forex reserves, USD bn	418.3	415.3	410.8	423.0	412.7	418.0
Forex reserves, in months of imports	7.8	6.2	6.6	6.5	6.7	6.2

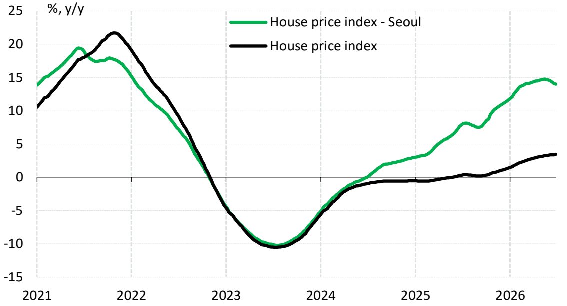
Source: BNP Paribas

South Korea: The rise in tech exports has offset the rise in energy imports



Source: Korea customs Service, BNP Paribas

South Korea: Real estate market remains tight in Seoul



Source: BOK, BNP Paribas

Asia – India & Indonesia: Inflation still limited but deteriorating external accounts

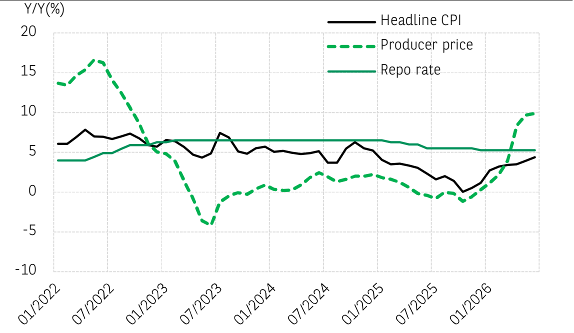
India: Economic growth projected to decelerate while inflationary risks have increased

	2022	2023	2024	2025	2026e	2027e
Real GDP growth, % (1)	7.6	7.2	7.1	7.7	6.7	6.8
Inflation, CPI, year average, % (1)	6.7	5.4	4.6	2.1	5.1	4.3
General gov. balance / GDP, % (1)	-9.1	-8.3	-8.1	-7.4	-7.6	-7.5
General gov. debt / GDP, % (1)	85.3	85.4	84.3	84.4	83.3	82.6
Current account balance / GDP, % (1)	-2.0	-0.7	-0.6	-0.7	-1.9	-1.6
External debt / GDP, % (1)	18.6	16.8	19.8	20.1	20.0	19.8
Forex reserves (excl. gold), USD bn	498	552	552	560	536	545
Forex reserves, in months of imports	6.7	7.5	6.8	6.7	6.2	6.3

(1) Fiscal year from April 1st of year N to March 31st of year N+1

Source: BNP Paribas

India: Inflation still below 2022 level



Source: RBI, BNP Paribas

India: FX reserves still comfortable

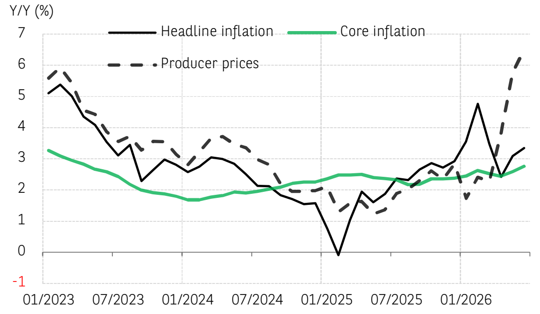
Source: RBI, BNP Paribas

Indonesia: Solid economic growth but rising risk of fiscal deficit slippage

	2022	2023	2024	2025	2026e	2027e
Real GDP growth (%)	5.3	5.0	5.0	5.1	5.0	5.2
Inflation (CPI, year average, %)	4.1	3.7	2.3	1.9	3.5	3.2
Gen. Gov. balance / GDP (%)	-2.4	-1.7	-2.3	-2.9	-3.0	-3.0
Gen. Gov. debt / GDP (%)	39.7	39.2	39.4	40.5	40.6	40.9
Current account balance / GDP (%)	1.1	-0.2	-0.6	-0.1	-1.2	-0.7
External debt / GDP (%)	30.1	29.8	29.6	29.9	30.0	30.1
Forex reserves (USD bn)	124	133	140	135	123	130
Forex reserves, in months of imports	5.5	6.0	6.1	5.6	5.0	5.3

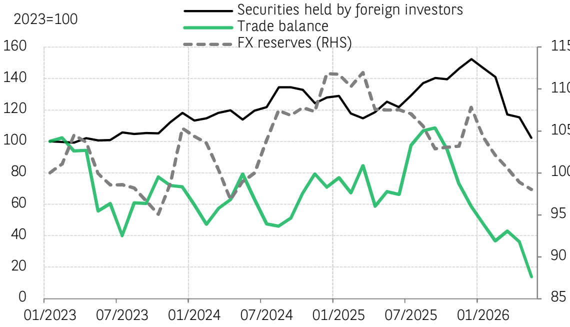
Source: BNP Paribas

Indonesia: Inflationary pressures are limited so far



Source: BI, BNP Paribas

Indonesia: External accounts have deteriorated



Source: BI, BNP Paribas

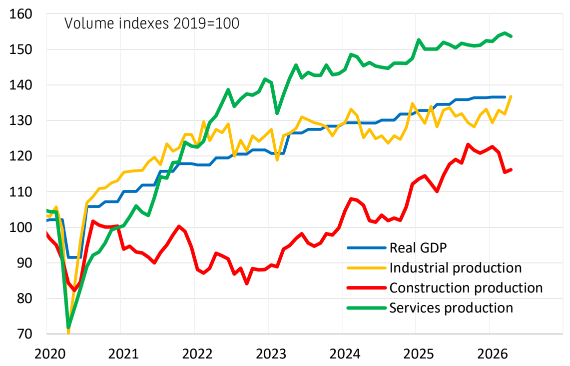
Emerging Europe – Türkiye: Coping with headwinds once again

Türkiye: The growth slowdown will help limit inflation and external account imbalances

	2022	2023	2024	2025	2026e	2027e
Real GDP growth, %	5.4	5.0	3.3	3.6	3.1	3.5
Inflation, CPI, year average, %	72.3	53.9	58.5	34.9	30.7	23.8
Central gov. balance / GDP, %	-0.9	-5.1	-4.7	-2.9	-3.8	-3.5
Gen. Gov. debt / GDP, % (EU standards)	26.3	24.9	20.8	21.7	22.4	23.3
Current account balance / GDP, %	-5.0	-3.7	-1.0	-1.9	-2.2	-2.2
External debt / GDP, %	41.9	37.9	33.9	35.7	35.2	35.6
Forex reserves, USD bn	82.9	92.7	90.9	77.0	89.8	98.3
Forex reserves, in months of imports	2.6	2.9	3.0	2.3	2.5	2.6

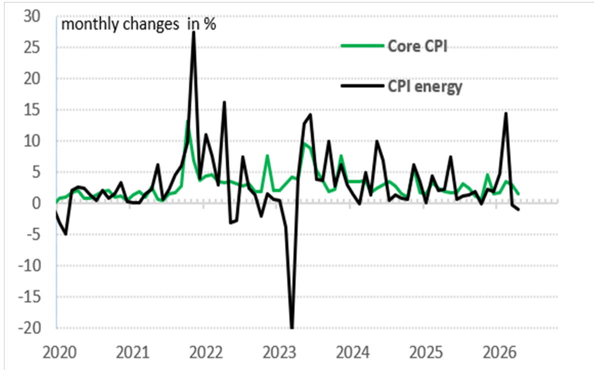
Source: BNP Paribas

Türkiye: Activity has decelerated



Source: TurkStat

Türkiye: Inflation pressures remain moderate



Source: TurkStat, BNP Paribas

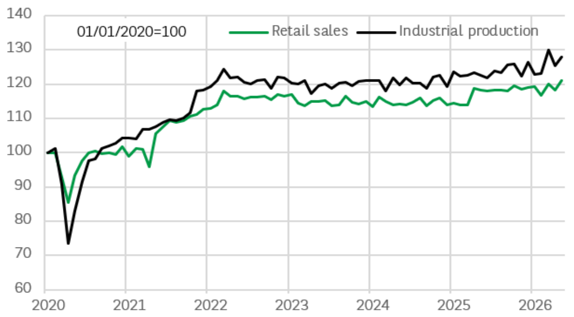
Emerging Europe – Poland & Romania: Uneven growth, fiscal consolidation is a priority

Poland: Robust growth, contained inflation but elevated fiscal deficit

	2022	2023	2024	2025e	2026e	2027e
Real GDP growth, %	5.6	0.2	3.1	3.6	3.7	3.2
Inflation, CPI, year average, %	14.4	11.4	3.8	3.8	3.0	2.7
Gen. Gov. balance / GDP, %	-3.4	-5.2	-6.4	-7.3	-6.6	-5.8
Gen. Gov. debt / GDP, %	48.8	49.5	54.8	59.7	61.6	63.9
Current account balance / GDP, %	-2.3	1.5	0.3	-0.9	-1.6	-1.5
External debt / GDP, %	53.3	49.8	51.6	50.2	47.1	44.2
Forex reserves, EUR bn	156.5	175.4	214.2	231.0	262.0	275.0
Forex reserves, in months of imports	5.2	6.1	7.3	7.4	8.1	8.1

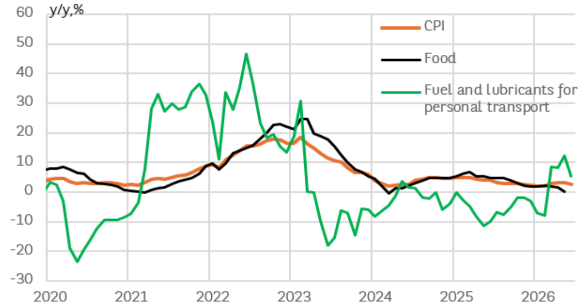
Source: BNP Paribas

Poland: Economic activity is holding up well



Source: Eurostat, BNP Paribas

Poland: Inflation is contained



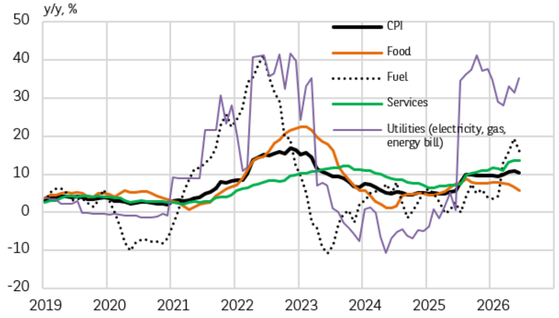
Source: Statistics Poland, BNP Paribas

Romania: Soft patch with persistent twin deficits

	2022	2023	2024	2025	2026e	2027e
Real GDP growth, %	4.2	2.3	0.9	0.7	0.1	2.6
Inflation, CPI, year average, %	13.7	10.5	5.6	7.3	7.9	4.6
General gov. balance / GDP (%)	-6.5	-6.6	-9.3	-7.9	-6.5	-5.7
General gov. debt / GDP (%)	48.1	49.3	54.8	59.3	61.5	63.0
Current account balance / GDP, %	-9.6	-6.7	-8.2	-7.9	-8.0	-7.5
External debt / GDP, %	54.7	56.9	57.5	60.2	62.1	64.9
Forex reserves, EUR bn	52.3	66.0	70.5	77.0	85.0	92.0
Forex reserves, in months of imports	5.3	6.9	7.1	7.5	8.0	8.2

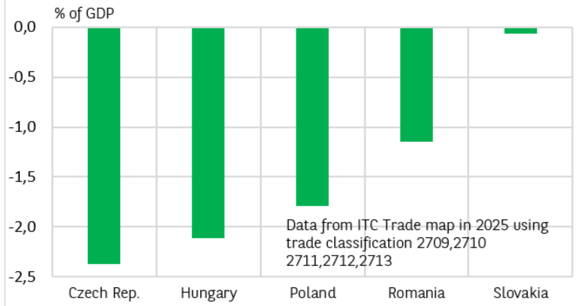
Source: BNP Paribas

Romania: Inflation is driven by energy and services



Source: National Institute of Statistics, BNPParibas

Romania: A moderate energy trade deficit



Source: ITC, BNP Paribas

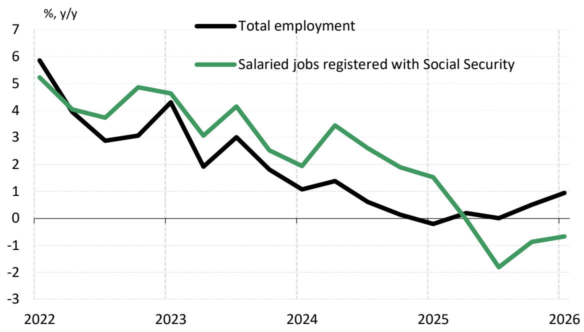
Latin America – Mexico: USMCA uncertainty impacts investment prospects

Mexico: Economic growth still sluggish

	2022	2023	2024	2025	2026e	2027e
Real GDP growth, %	3.9	3.2	1.5	0.5	1.1	2.0
Inflation, CPI, year average, %	7.9	5.6	4.2	3.8	4.0	3.7
Budget balance / GDP, %	-4.3	-3.3	-5.1	-3.9	-3.8	-3.8
Public debt / GDP, %	46.9	46.5	49.1	51.5	53.1	54.0
Current account balance / GDP, %	-1.2	-0.3	-0.9	-0.4	-0.6	-0.5
External debt / GDP, %	41.9	33.3	31.0	32.0	33.0	33.1
Forex reserves, USD bn	194.0	207.0	221.0	239.0	245.0	258.0
Forex reserves, in months of imports	4.8	4.1	4.3	4.5	4.2	4.1

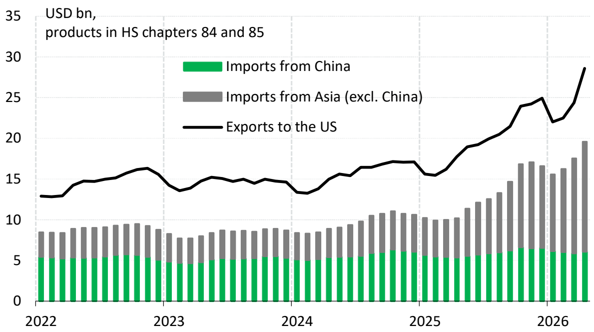
Source: BNP Paribas

Mexico: Informal employment impacts consumption



Source: INEGI, ENOE, BNP Paribas

Mexico: Regionalisation of trade but not of supplies



Source: Comtrade, BNP Paribas

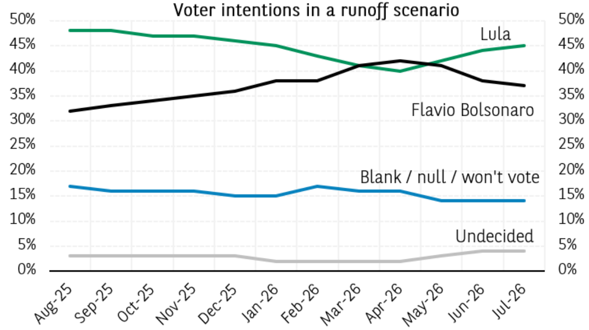
Latin America – Brazil & Colombia: Oil bonanza fails to prevent fiscal deterioration

Brazil: Resilient growth meets sticky inflation and fiscal strain

	2022	2023	2024	2025e	2026e	2027e
Real GDP growth, %	3.1	3.2	3.6	2.3	2.3	1.4
Inflation, CPI, year average, %	9.3	4.6	4.4	5.0	4.7	5.1
Public sector fiscal balance / GDP, %	-4.6	-8.8	-8.5	-8.3	-8.8	-8.6
Gross public debt / GDP, %	72	74	77	79	82	86
Current account balance / GDP, %	-2.9	-1.2	-3.0	-2.9	-2.3	-2.5
External debt / GDP, %	35	33	33	35	36	33
Forex reserves, USD bn	324	355	329	358	365	362
Forex reserves, in months of imports	11	13	10	11	11	12

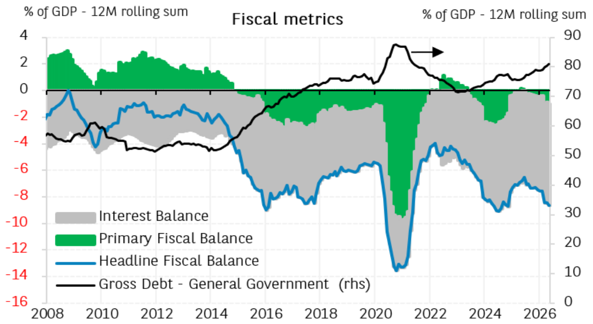
Source: BNP Paribas

Brazil: Lula widens lead over Flavio Bolsonaro



Source: Genial/Quaest survey (July 2026), Bloomberg

Brazil's public debt ratio: an upward trend difficult to curb



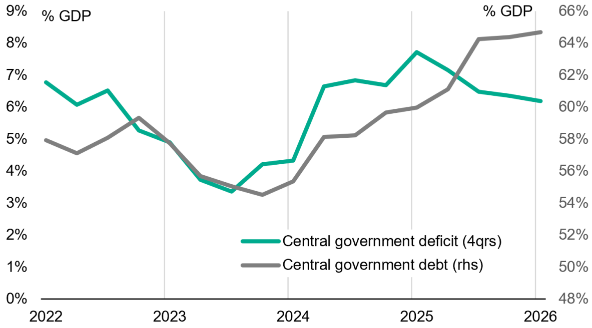
Source: National Treasury, BNP Paribas

Colombia: Growth to decelerate in 2026 before picking up in 2027, inflation to stay above BanRep's target

	2022	2023	2024	2025e	2026e	2027e
Real GDP growth, %	7.3	0.8	1.5	2.6	2.0	2.7
Inflation, CPI, year average, %	10.2	11.8	6.6	5.1	6.2	5.5
Central governement balance / GDP (%)	-5.3	-4.2	-6.7	-6.4	-6.5	-5.4
Central government debt / GDP (%)	59.3	54.5	59.7	64.4	66.8	68.4
Current account balance / GDP (%)	-6.0	-2.3	-1.7	-2.4	-2.1	-2.3
External debt / GDP (%)	59.2	59.6	52.6	53.1	54.3	55.6
Forex reserves, USD bn	57,3	59,6	62,5	64,4	66,8	67,2
Forex reserves, in months of imports	7.7	9.3	9.5	9.2	9.3	9.3

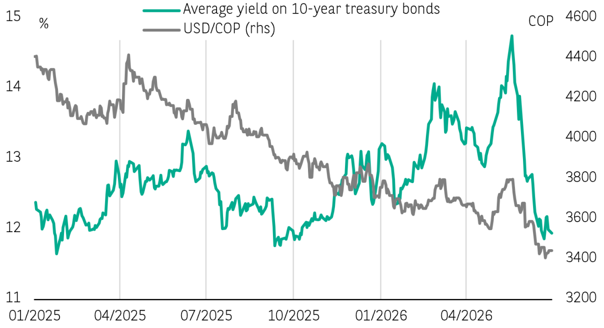
Source: BNP Paribas

Colombia: Central government deficit remains substantial



Source: DANE, BNP Paribas

Colombia: Markets have reacted positively to the election of Abelardo de la Espriella



Source: BanRep, BNP Paribas

Middle East –Egypt slightly affected by the oil shock vs. Saudi Arabia hit hard by the conflict

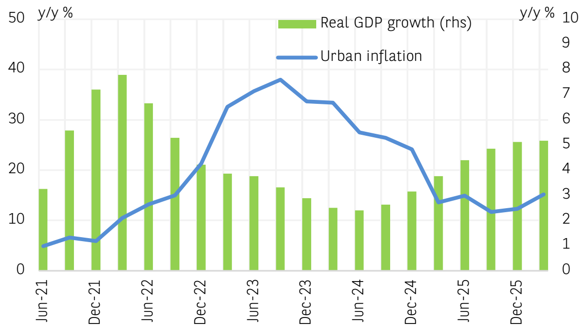
Egypt: Macroeconomic improvement is not derailed

	2022	2023	2024	2025e	2026e	2027e
Real GDP growth (%)	6.7	3.8	2.4	4.4	4.7	4.7
Inflation, CPI, year average, %	8.5	24.0	33.6	21.0	13.2	12.3
Gen. Gov. balance / GDP (%)	-5.8	-5.7	-3.3	-6.5	-9.3	-6.1
Gen. Gov. debt / GDP (%)	89	96	91	87	81	72
Current account balance / GDP (%)	-3.5	-1.2	-5.4	-4.2	-3.6	-2.9
External debt / GDP (%)	33	42	40	44	42	40
Forex reserves (USD bn)	31,5	32,8	44,3	45,3	47,3	49,5
Forex reserves, in months of imports	3.7	4.7	6.0	5.1	5.0	5.3

Fiscal year from July 1st of year n-1 to June 30 of year n

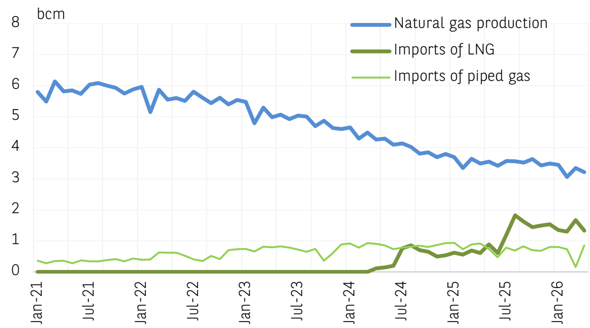
Source: BNP Paribas

Egypt: Economic recovery still on track



Source: IMF, BNP Paribas

Egypt: Growing dependence on LNG imports



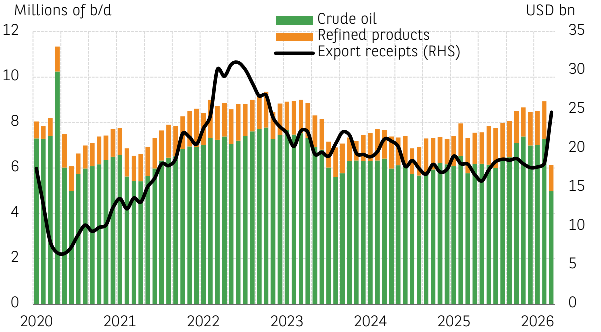
Source: BNP Paribas

Saudi Arabia: Hit by a severe growth shock

	2022	2023	2024	2025e	2026e	2027e
Real GDP growth (%)	12.0	0.5	2.6	4.5	0.8	4.4
Inflation, CPI, year average, %	2.5	2.3	1.7	2.0	2.2	2.1
Gen. Gov. balance / GDP (%)	2.2	-1.8	-2.5	-5.8	-5.1	-4.3
Gen. Gov. debt / GDP (%)	21	23,0	25,9	31,8	34,9	38,0
Current account balance / GDP (%)	12.1	2.1	-1.3	-2.6	-0.8	-1.1
External debt / GDP (%)	21	24,6	29,5	37,5	38,1	40,4
Forex reserves (USD bn)	460	437	437	460	487	493
Forex reserves, in months of imports	21.4	17.2	15.5	15.4	15.5	14.9

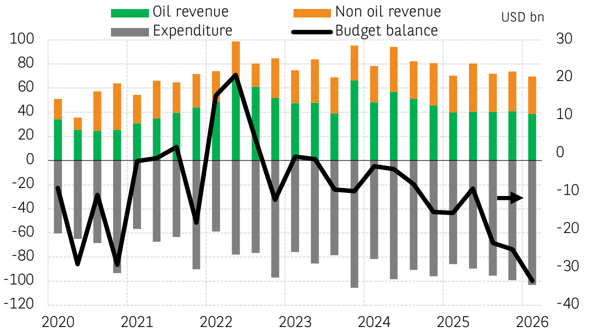
Source: BNP Paribas

Saudi Arabia's oil exports: falling in volume, surging in value



Source: GASTAT, Jodi, BNP Paribas

Saudi Arabia: Fiscal deficit reaching a record high



Source: MOF, BNP Paribas

Economic Research

ECOINSIGHT

Structural or thematic topics

ECOPERSPECTIVES

Analyses and forecasts with a focus on developed and emerging economies.

ECOFLASH

Data releases, major economic events

ECOWEEK

Recent economic and policy developments, data comments, economic calendar, forecasts

ECOCHARTS

Easy-to-read monthly overview of inflation dynamics

ECOATLAS

The key economic figures for France and major European economies

CHART OF THE WEEK

A weekly chart highlighting points of interest in the world economy

ECOTV

What is the key event of the month?
You will find the answer in our economy broadcast.

MACROWAVES

Our economic podcast

Subscribe to our publications:

ECONOMIC RESEARCH

Paris, 23 July 2026

BNP PARIBAS
The bank for a changing world

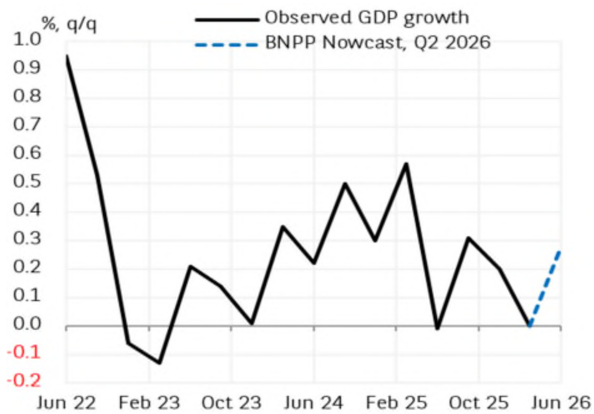
EcoFlash

Q2 growth in advanced economies: resilient despite multiple shocks

Shocks are mounting, but growth is holding up. Although GDP figures for the Eurozone, France, Germany and the United States are due to be published on 30 July, our nowcasts indicate that growth returned to its trend rate in the second quarter. This rate is approximately 1% per annum in the Eurozone, France and Germany, and 2% per annum in the United States. In Q2, the Eurozone is expected to benefit from sustained growth in Germany, with investment plans gaining momentum, while France is expected to see a rebound in exports and residential construction after a poor start in Q1. In the United States, growth is expected to remain driven by non-residential investment and household consumption but will be held back by strong imports.

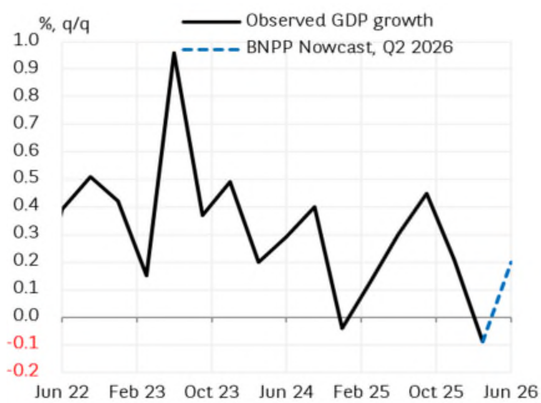
Eurozone: a (fragile) resurgence in momentum. Following a first quarter marred by significant volatility in Irish statistics – assuming this does not disrupt Q2 GDP figures again – **our nowcast points to a rebound in growth of +0.3% q/q in Q2 2026**, in line with our forecast. This nowcast has been recently revised upwards due to improvements in the June PMI surveys and the (unfortunately temporary) fall in the price of Brent crude. Growth in the Eurozone is expected to be driven by Germany and the rebound in economic activity in France (see below). The resilience of the Eurozone labour market is likely to continue providing support for consumption, although household purchasing power is expected to fall by 0.9% q/q in Q2. This decline underscores the two headwinds facing households: geopolitical uncertainty and the temporary rise in inflation, both of which are expected to continue to dampen consumption and keep the savings rate at a high level.

Eurozone



Source: Refinitiv, BNP Paribas

France

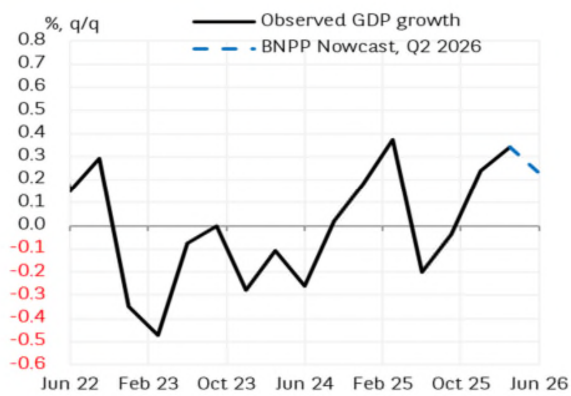


Source: Refinitiv, BNP Paribas

France: a (partial) return to growth. France appears to have returned to growth in the second quarter, with an increase of +0.2% q/q according to our nowcast. Three factors contributed to the 0.1% q/q decline in Q1: i/ exports: however, Airbus deliveries have since rebounded sharply (+40% y/y in Q2 after -16% y/y in Q1), and exports have also risen in the steel, IT/electronics and pharmaceutical sectors; ii/ construction: after a sharp decline across all its sub-sectors in Q1, output is expected to stabilise in Q2 (with a rebound in new housing offsetting ongoing weakness in public works and renovation); 3/ household consumption: this is expected to remain under pressure in Q2 (following a 0.2% q/q decline in Q1) due to rising inflation, which has prompted households to revise their purchasing intentions downwards (a decrease of 9 points in June compared with February in the household confidence survey, 22 points below their historical average).

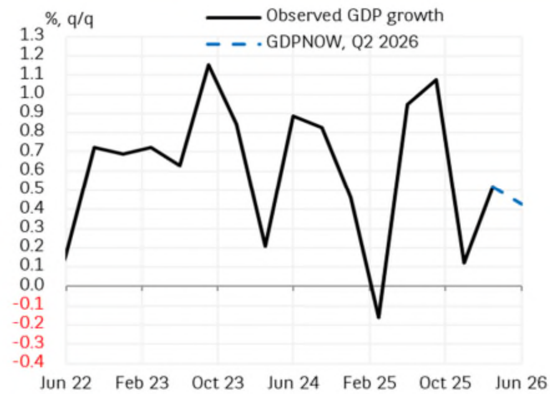
Germany: the return to growth is being confirmed. Germany is implementing its investment plans (**see our analysis**) and this is being reflected in its GDP growth. **Our Germany nowcast (which we are publishing for the first time) indicates that growth reached 0.2% q/q in the second quarter**, marking a third consecutive quarter of growth (+0.2% q/q in Q4, +0.3% in Q1) – a performance not seen since 2022. Public spending is the main driver of this growth, with social spending leading the way (particularly those associated with an ageing population). Defence spending is also gaining momentum: in Q1 2026, government expenditures accounted for a quarter of public consumption growth (compared with a tenth a year earlier). This rise in public spending is supporting public works, with output reaching an all-time high in the first two months of Q2 (+6% q/q). German industry is also reaping the benefits of this, alongside the resurgence in European demand: domestic industrial orders have risen by 2.6% y/y since the start of 2026, with an even more significant rise for orders to the Eurozone (+6.2% y/y).

Germany



Source: Refinitiv, BNP Paribas

United States



Source: Refinitiv, Fed Atlanta BNP Paribas

United States: growth held back by inflationary pressures. Survey data are looking strong. The non-manufacturing ISM index remains high (54 in June, following a peak of 56.1 in February), while the manufacturing ISM index has risen significantly since the start of the year (averaging 52.9, compared with 47.5 in the second half of 2025). However, GDP growth is unlikely to benefit much from this uptick in activity, as the rise in imports (particularly of inputs for AI) has also accelerated. **This limits the Atlanta Fed's nowcast to 1.7% q/q for the second quarter (annualised), while our forecast is slightly more optimistic, at 2.2% annualised (0.55% q/q, non-annualised)**. This figure, which is relatively moderate given the high ISM reading, can also be attributed to the inflationary pressures facing the US economy. These pressures are linked to supply constraints on intermediate goods and the strength of the labour market and have been exacerbated since March by the rise in oil prices. Consequently, while it is conceivable that consumption will continue to be driven in Q2 by the wealth effect among affluent households, the confidence and spending of other Americans are likely to be adversely affected by ongoing inflation.

Stéphane Colliac
Head of the Advanced Economies Team, France
stephane.colliac@bnpparibas.com

Guillaume Derrien
Senior Economist, Europe
guillaume.a.derrien@bnpparibas.com

Tarik Rharrab
Nowcast methodology
tarik.rharrab@bnpparibas.com

FRENCH CORPORATES: PEAKS IN CREATIONS PUT PEAKS IN BANKRUPTCIES INTO PERSPECTIVE

Thomas Humblot

In June 2026, corporate creations cumulated over one year remained dynamic, reaching a historic peak according to INSEE, with 1,233,123 corporates set up, representing a 11.1% year-on-year increase. This momentum is not a recent phenomenon, as corporate creations have doubled over the last decade. During this same period, the rise in bankruptcies has been ten times lower, which serves to put current levels (approximately 70,000 bankruptcies cumulated over one year in March 2026) into perspective. Historically, the peaks and troughs in corporate bankruptcies are following those of corporate creations, with an average lag of 24 to 36 months. Therefore, the absolute number of bankruptcies provides an incomplete reflection of the financial health of the French production base, and must be supplemented by other indicators.

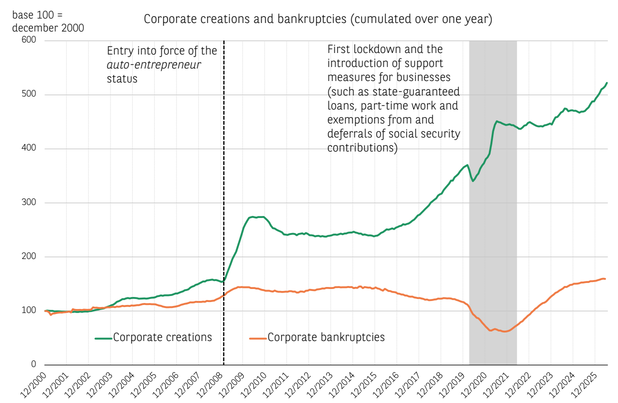
Corporate creations have doubled in ten years, but bankruptcies have not. Over the past decade, the number of corporates created annually has doubled, as creations were plateauing at around 570,000 per year between 2012 and 2015, while they reached 1,166,000 in 2025 (+104%). During these same two periods, bankruptcies cumulated over one year increased by only 11%. The introduction of the 'auto-entrepreneur' status on 1st January 2009[1], followed by the doubling of the turnover ceiling (and the explosion of delivery platforms) in 2018, largely fuelled the rise in corporate creations during this period.

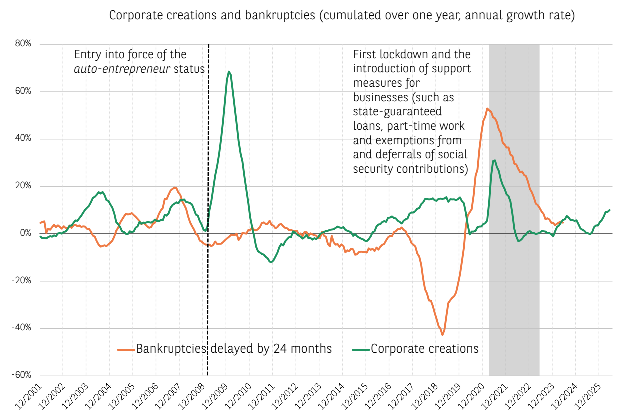
Historically, bankruptcies follow creations after 24 to 36 months. As a result, the peaks seen since March 2026 (around 70,000 bankruptcies cumulated over one year) reflect the increase in the number of young corporates, rather than solely the impact of successive macroeconomic shocks. Given that the average survival rate for all corporates is 75% at 3 years, compared to 65% at 5 years (and 50% at 9 years)[2], the cycles of rising and falling bankruptcies are generally following cycles of rising and falling corporate creations after a period of 24 to 36 months[3].

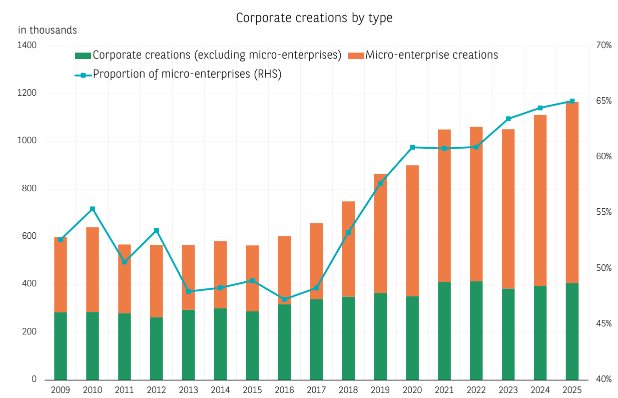
The financial health of corporates must be assessed beyond mere creation and bankruptcy figures. First, bankruptcy statistics underestimate the difficulties faced by micro-enterprises. Indeed, Banque de France statistics only record companies undergoing receivership ('redressement judiciaire') or liquidation ('liquidation judiciaire'). However, micro-enterprises are more likely to cease operations when facing difficulties without entering formal bankruptcy proceedings. Therefore, bankruptcy data must be supplemented by other indicators, such as corporate deregistrations ('radiations')[4], which are rising, according to Infogreffe[5]. Second, as micro-enterprises are over-represented among bankruptcies — accounting for 92% of the total in May 2026 — the absolute number of bankruptcies should be contextualised by other metrics. These include the economic weight of bankrupt corporates, which allows for weighting by a proxy for corporate size, or the ratio of non-performing loans (NPLs) in the banking sector[6]. These data confirm that there is no particularly alarming trend in recent bankruptcy figures.

We will shortly publish a dashboard providing a synoptic overview of these aspects.

Peaks in corporate creations, driven notably by the rise of auto-entrepreneurs since 2009, are followed by peaks in bankruptcies after 24 to 36 months







SOURCE: BANQUE DE FRANCE, INSEE, BNP PARIBAS

1 With this status merged into the 'micro-enterprises' status since 2016, which is the only one remaining.
2 See Economically active enterprises in 2023 - Insee Première - 2097
3 See Défaillances d'entreprises : les dynamiques à l'œuvre au terme de six années atypiques | Banque de France [Available in French only].
4 Which includes a substantial number of takeovers, company mergers and legal restructuring of business groups without interruption to business activity.
5 Panorama de l'entrepreneuriat – Mai 2026 : des créations stables, des radiations toujours élevées et des fragilités persistantes - Infogreffe [Available in French only].
6 See Poids économique des défaillances d'entreprises, des niveaux élevés à relativiser

GROUP ECONOMIC RESEARCH

ECOINSIGHT
Structural or thematic topics

ECOPERSPECTIVES
Analyses and forecasts with a focus on developed and emerging economies.

ECOFLASH
Data releases, major economic events

ECOWEEK
Recent economic and policy developments, data comments, economic calendar, forecasts

ECOCHARTS
Easy-to-read monthly overview of inflation dynamics

ECOATLAS
The key economic figures for France and major European economies

CHART OF THE WEEK
A weekly chart highlighting points of interest in the world economy

ECOTV
What is the key event of the month?
You will find the answer in our economy broadcast.

MACROWAVES
Our economic podcast

HOW TO RECEIVE OUR PUBLICATIONS

SUBSCRIBE ON OUR WEBSITE
see the Economic Research website
&
FOLLOW US ON LINKEDIN
see the Economic Research linkedin page
OR TWITTER
see the Economic Research Twitter page

Published by BNP PARIBAS Economic Research
Head office: 16 boulevard des Italiens – 75009 Paris France / Phone : +33 (0) 1.42.98.12.34
Internet: www.group.bnpparibas - www.economic-research.bnpparibas.com
Head of publication : Jean Lemierre / Chief editor: Isabelle Mateos y Lago

Subscribe to our publications:
ECONOMIC RESEARCH

BNP PARIBAS

La banque
d'un monde
qui change